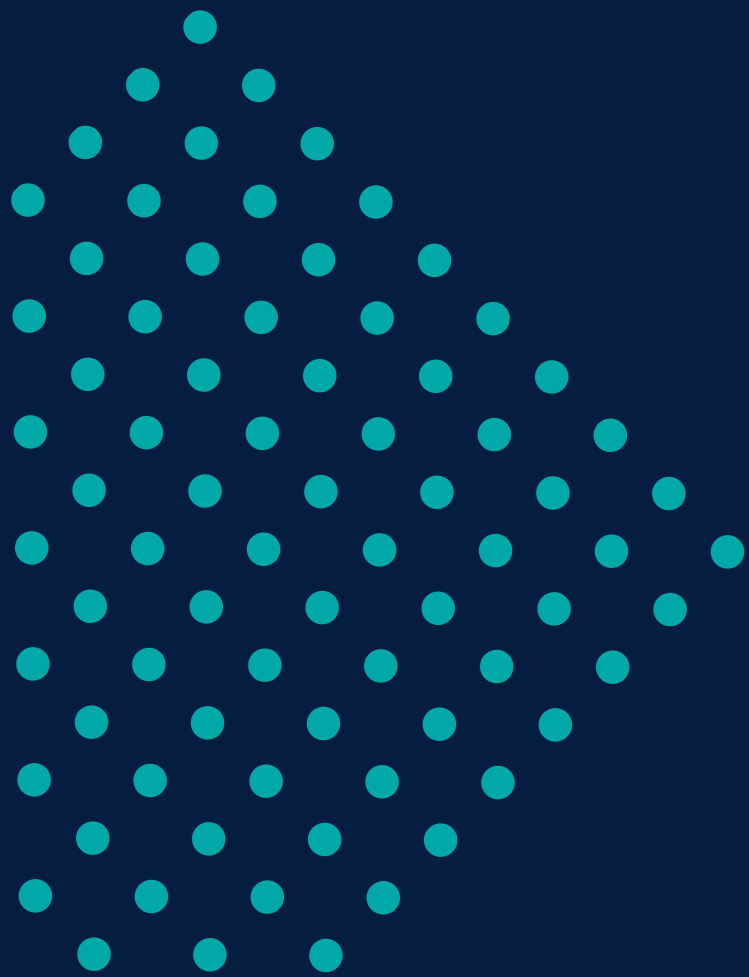


Ministry of Finance, Economic Stabilization & National Policies
Sri Lanka

Impact of Economic Crisis on MSMEs

Insights and Analysis

2022



Department of Census and Statistics
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DCS

MSMEs AND THE ECONOMIC CRISIS in Sri Lanka

Impact of Economic Crisis on MSMEs 2022

FINAL REPORT

DEPARTMENT OF CENSUS AND STATISTICS

MINISTRY OF ECONOMIC POLICES AND PLAN IMPLEMENTATION

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Preface

Micro, Small and Medium Enterprises (MSMEs) play a pivotal role narrowing the socio-economic divide within the counties. In Sri Lanka, the MSMEs contribute significantly, accounting for more than 50% of the country's GDP. However, the global COVID19 pandemic inflicted severe blows to these enterprises. Unfortunately, the recent economic crisis in the country has further heightened the vulnerability of the MSMEs.

In response to this pressing need, a crucial initiative was undertaken. In February 2023, a meeting convened at the presidential secretariat designated the DCS to conduct a national survey to measure the impact of the economic crisis following COVID 19 pandemic in the country. Institute of Policy Studies and the Department of National Planning attended the meeting emphasized the importance of this survey to take informed decisions and agreed to support the DCS in this regard.

This survey was conducted quickly within a short period starting from March 2023. All the communications from the head office to the districts were done through technology. Training classes, monitoring and relevant instructions were given via on-line meetings and a part of editing was also done using communication technology to save the time and cost.

In many countries the administrative data available in government agencies that are the members of National Statistical System are used to take informed decisions in crises. But Sri Lanka faces limitations in harnessing the full potential of its National Statistical system. While the stakeholders of NSS theoretically extend support to the Department of Census and Statistics (DCS) to produce official statistics, this support is often constrained by the individual legal frameworks within the government agencies. Consequently, the country often resorts to conducting rapid surveys to gather statistics for decision making instead of utilizing readily available administrative data owned by the relevant government agencies.

I am pleased to publish the report which encapsulates the findings and the data analysis of the survey. I hope that this report will prove immensely valuable in the ongoing efforts to rebuild our country's economy.

P.M.P. Anura Kumara
Director General
Department of Census and Statistics
No.306/71, Polduwa Road
Battaramulla
29/08/2023

Acknowledgement

All the Micro, Small and Medium enterprises selected for collecting data for the survey are greatly acknowledged for their co-operation and contribution of their time in providing information to the staff of Department of Census and Statistics island wide.

Our sincere thanks to the Presidential Secretariate for entrusting this National Task to the DCS and facilitating with Ministry of Investment Promotion for necessary resources in conducting this survey. The co-operation of the staff of Ministry of Investment promotion at the time of need is very much appreciated.

We acknowledge the support given by the Central Bank of Sri Lanka, Asian Development Bank, Institute of Policy Studies, Strategic affairs division of the Presidential Secretariate and the Department of Development Finance for their contribution in designing the questionnaire for the survey.

The pleasure of releasing the report is well deserved by Mr.P.M.P Anura kumara, Director General, and the team of Industry Trade and Services division of the DCS led by

Ms. U. Maheshwaran, Director.

- Mr. EMM Ekanayake, Deputy Director was playing the part of supervising and co-ordinating the activities of data collection, editing and tabulation in the districts
- Dr J.S.N.P.Dharmawardena Senior Statistician was responsible for sampling, and data cleaning and data analyses
- Ms. Shyamali Kodikara Statistician was responsible for designing the questionnaire and supervising data collection in the field
- Ms. Chamini Wijayapala, Ms.Niluka Munasinghe, Ms Madusha Bandara, Mr.Upali Amarawasnsa, Ms. Madurangi Fernando, Mr. Asoka Jayathilake, Mr. Ashen Wickramaratne, Ms. Achcala Udayangani, Ms, Hashini Pannala Ms. Wathsala Walgama and Mr. Kavishka Heshan statisticians were responsible for supervising the data collection, data editing data cleaning and preparing tables for analysis
- All the Statistical staff attached to D.S divisions with the supervision of heads of District statistics offices contributed for the success of the survey by data collection data entry and editing.
- All the Statistical Officers, Development Officers and Information Communication Technology Assistants of the industry trade and services division immensely contributed for data collection data entry and editing

The services of Mr. Nadun Hettiarachchi, Statistical Officer (currently a staff member of BOC), who was instrumental in conducting this survey and was commendable on his contribution of developing the online supervision and monitoring system, pivotal in real-time oversight and enhancing the accuracy of the results.

Executive summary

This survey on Micro, Small and Medium scale Establishments (MSMEs) is the third establishment survey conducted by the Department of Census and Statistics (DCS) to measure the impact of crises the country has encountered in the recent past. DCS conducted an establishment survey to assess the economic impact of Covid 19 pandemic in 2020. In 2021, a business pulse survey was conducted in collaboration with the World Bank to assess the impact of Covid 19 pandemic. It was the second survey on the impact of Covid 19 conducted by the World Bank, which was conducted across many countries after the second wave of the pandemic.

This report presents findings of the survey conducted to assess the **Impact of Economic Crisis on MSMEs engaged in Non-Agricultural Sector of Sri Lanka** upon the request of the presidential secretariat. The definition of MSMEs constructed based on data obtained in Economic Census 2013/14 was used for the survey.

The survey findings reveal that 79.8% of the MSMEs that operated in 2018 were still in operation at the end of year 2022. Among the 20.2% businesses either permanently or temporarily closed, 8.3% of closures were reported to be due to economic crisis while 11.9% were due to reasons other than economic crisis. The number of permanently closed businesses is more than three times higher than those which were closed temporarily. The highest percentage of closures was reported for 2020 with 33.4%. Among the total businesses closed during 2019-2022, 41.1% has reported economic crisis as a reason for closing their businesses which indicate that 58.9 % of the closures were not due to economic crisis. Further, 45.3% of closed businesses have reported Covid pandemic being a reason of closure suggesting 54.7% of closures had not been due to Covid pandemic.

A sectoral comparison of closed business reveals that the micro sector is the most affected with only 78.8% businesses currently being active. Small scale businesses were the least affected with 91.7 % active businesses. Further, micro scale businesses engaged in all three groups of industry, trade and services are almost equally affected. In small scale businesses, the units in the industry sector are most affected and for medium scale it is the services sector.

Employment in MSMEs has fluctuated over the years since 2018. It is observed that in 2020 and 2021 the drop was high and a slight increase was noted in 2022.

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Chapter 1

Introduction

1.1 Micro Small and Medium Enterprises in Sri Lanka

The Economic Census conducted in 2013/14 in Sri Lanka revealed that the Micro, Small and Medium enterprises (MSMEs) are larger in numbers and are substantially contributing to the country's economy. At the listing stage of the economic census, 1,017,267 MSMEs were enumerated of which 28.7 percent were industries, 40.0 percent and 31.3 percent were engaged in trade and services related activities respectively. The legal status of MSMEs reveals that 54 percent of micro enterprises, 89 percent of small enterprises and all the medium scale enterprises are registered.

1.2 Background

Micro Small and Medium Enterprises are looked at as the engines of employment generation and they contribute significantly to the growth of the developing countries. However, the Covid 19 pandemic severely impacted these businesses leading to a disastrous period for MSMEs. The survey done by the DCS to measure the impact of COVID 19 pandemic in 2020 unveiled that the revenue of MSMEs dropped by 56.8 percent during the period of March-May 2020 compared to the same period in 2019. A decrease of 62.5 percent was reported in the number of persons engaged in MSMEs and especially in the education sector, the drop in persons engaged was 80.4 percent.

These MSMEs have been affected more adversely due the economic crisis. Rising inflation has resulted in increased prices of raw materials while high interest rates have made it challenging for entrepreneurs to obtain financial support for sustaining their operations. Further, challenges such as energy and labour have also intensified the entrepreneurs in the current context. Therefore, the government requires data on the MSMEs in the country to make informed decisions to mitigate poverty and vulnerability and to rebuild the economy.

The Department of Census and Statistics (DCS) was assigned to conduct a national survey to measure the impact of the economic crisis followed by the COVID 19 pandemic in the country at a meeting held at the President's Secretariat at the end of February 2023. Institute of Policy Studies and the Department of National Planning attended the meeting and emphasized the importance of this survey to make informed decisions.

The effectiveness of data sharing among government agencies is hindered by their own legal frameworks, therefore the country often resorts to conducting rapid surveys to gather statistics for decision making instead of utilizing readily available administrative data owned by the relevant government agencies.

1.3 Objectives

- To examine the current status of MSMEs in the country that were active in 2018
- To assess the impact caused by the economic crisis across the scale of businesses
- To explore the strategies adopted by the businesses to mitigate the impact
- To find the necessary support required for rebuilding

1.4 Planning and Technical Preparation

This survey was planned as a quick survey and the DCS started the technical activities immediately. After the meeting with Presidential Secretariat In March 2023 technical preparations such as questionnaire designing, selecting a sample, etc. for the survey was done and the necessary field planning activities were done.

1.5 Training and Field Operation

In April 2023 Training classes for the enumerators were done via Zoom technology. Data collection activities commenced after the training sessions in the latter part of April and continued till the mid of June. A few DS divisions were vacant without a statistical officer/Development Officer at the moment of data collection in the field. Therefore, those divisions had to be covered by other Statistical Officers/ Statistical Assitants/ Development Officer in addition to their work.

1.6 Reference period

The reference period for the data collection was the year 2022, but we had to consider data from January to April, 2023 for analysis also due to practical challenges in locating enterprises that had closed in 2022 or before.

Chapter 2

Methodology

2.1 Survey Questionnaire

The questionnaire was designed to capture the ground situation of the MSMEs due to the economic crisis. A number of pretests had to be done to fine tune the questionnaire and the inputs of the Central Bank of Sri Lanka, ADB, IPS and Development Finance Department. were considered in finalizing the questionnaire. Accordingly, it was structured and designed under the following four main topics.

- Current Status of MSMEs
- Business performance 2018 – 2022
- Impact of the Economic Crisis
- Strategies adopted to mitigate the impact

The design was as follows.

- Target Population: All business establishments under MSME category.
- Sample Size: 7,813 business establishments
- Sample Frame: Economic Census 2013 – Listing stage data base that is updated from annual surveys
- Sampling Technique: Stratified random sampling technique

Considered strata

- Stratum 1 - Economic activity excluding Agricultural activity
- Stratum 2 - Scale of Enterprises (MSME Sector)

2.2 Sample Design

The survey covered all the establishments engaged in economic activities other than the agricultural activities, falling within the Micro, Small and Medium (MSMEs) sectors. Statistical unit of the survey was the establishment which is defined as the legal unit or a unit engaged in single or related activities of Industry, Construction, Trade and Services in one location under a single ownership or control.

¹MSME definition, which was derived from the Economic Census listing database prepared in 2013 was used for the classification

Table 2.1: Levels of the Stratum 1 - Economic Activity

Main Economic Sector	Level of the Economic Activity
Industry and Construction	Mining and quarrying
	Manufacture of food products
	Manufacture of beverages
	Manufacture of tobacco products
	Manufacture of textiles
	Manufacture of wearing apparel
	Manufacture of leather and related products
	Manufacture of wood and of products of wood and cork, except furniture; manufacture of articles of straw and plaiting
	Manufacture of paper and paper products
	Printing and reproduction of recorded media
	Manufacture of chemicals and chemical products
	Manufacture of basic pharmaceutical products and pharmaceutical preparations
	Manufacture of rubber and plastic products
	Manufacture of other non- metallic mineral products
	Manufacture of basic metals
	Manufacture of fabricated metal products (except machinery and equipment)
	Manufacture of computers, electronics and optical products
	Manufacture of electrical equipment
	Manufacture of machinery and equipment
	Manufacture of motor vehicles, trailers and semi-trailers
	Manufacture of other transport equipment
	Manufacture of furniture
	Other manufacturing
	Repair and installation of machinery and equipment
	Other Industry (Water Supply, sewerage, waste management etc.)
Trade	Construction
	Trade
	Transportation and storage
	Accommodation and food service activities
	Information and Communication
	Financial and Insurance Activities
	Real estate activities
Services	Professional, Scientific and technical activities
	Administrative and support service activities
	Education
	Human health and social work activities
	Arts, entertainment and recreation
	Other service activities

Table 2.2: Levels of stratum 2 - Micro Small, Medium Scale

Main Economic Sector	Scale	Criteria (No. of Persons Engaged)
Industry and Construction	Micro	1 - 4
	Small	5 - 24
	Medium	25 - 199
Trade	Micro	1 - 3
	Small	4 - 14
	Medium	15 - 34
Services	Micro	1 - 4
	Small	5 - 15
	Medium	6 - 74

2.3 Sample Allocation

Using the Neyman allocation, the total sample was distributed among the considered strata as presented in the table 2.3.

Table 2.3: Sample allocation by MSMEs and by main economic sector

Main Economic Sector	Scale of Enterprise			Total
	Micro	Small	Medium	
Industry and Construction	1,630	901	482	3,013
Trade	862	485	199	1,546
Services	2,052	815	387	3,254
Total	4,544	2,201	1,068	7,813

²MSME definition derived from Economic Census listing database - 2013

Estimation Procedure

The estimated value of a variable is given by,

$$\hat{Y} = \sum_{i=1}^{n_1} \sum_{j=1}^{n_2} \frac{N_{ij}}{n_{ij}} Y_{ij}$$

Where, $i = 1, 2, 3, \dots, n_1$

$j = 1, 2, 3, \dots, n_2$

n_1 = Number of economic activities

n_2 = Number of MSME category

n_{ijk} = Responded number in i^{th} economic activity, j^{th} MSME category

N_{ijk} = Total number of i^{th} economic activity, j^{th} MSME category

Y_{ijk} = sample value of considered variable in i^{th} economic activity, j^{th} MSME category

Y = National estimate for the considered variable

2.4 Data Collection and Other Activities

Data were collected through face-to-face interviewing method. Data collection was done by DCS Officers attached to the DS divisions under the supervision of Deputy Directors, Senior Statisticians/ Statisticians headed by DCS. In addition to this, the head office staff having experience in data collection from enterprises was appointed to the districts of the Western province for collecting data due to the high business density in the province.

All correspondence with the districts were on-line meetings and the responsibility of printing the questionnaire was also given to the district offices to

decentralize the administration of the project and to minimize the cost. Regular updates from districts and relevant instructions from the head office were shared online using new technological method. Data entry, a major part of the editing and coding were done by the district staff with the supervision of head office through Google dashboards and regular online monitoring system. Data cleaning and analyses were done by the head office staff using new ICT tools

Chapter 3

Current Status of MSMEs

3.1 Introduction

This chapter presents the results of the descriptive analysis carried out to understand the functionality during 2018-2022 and the current status of MSMEs. All the businesses considered in this chapter were active in 2018 and their present status at the end of 2022 has been taken for comprehensive study. Furthermore, a few businesses reported closed at the moment of the survey but They were closed.

after 2022 because of economic crisis. They were also considered for analyses, and the closing year for those enterprises was taken as 2022. Locating the MSMEs closed and collecting information from those were found to be the real challenges the enumerators faced in the survey. However they were successful in gathering data related to those enterprises.

Table 3.1 Status of MSMEs 2018 - 2022

Present Status	No. of MSMEs (000')	%
Active	1,037.1	79.8
Temporarily closed	59.1	4.5
Permanently closed	204.1	15.7
Total	1,300.3	100.0

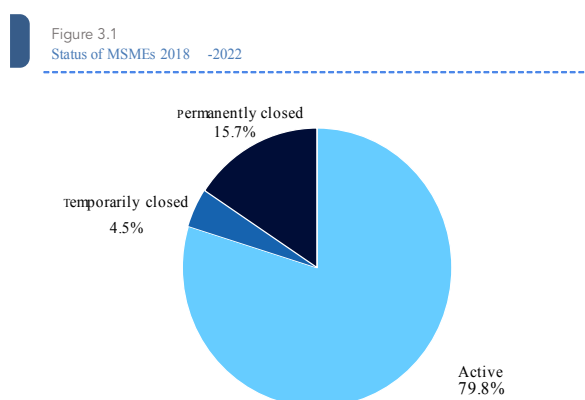


Figure 3.1: Status of MSMEs 2018-2022

The estimated number of active MSMEs at the end of the year 2018 was 1.3 million. According to figure 3.1, around 80 percent of the businesses were in operation at the end of year 2022. And 20 percent of businesses were either permanently

or temporarily closed while most of them were permanently closed. In fact, the number of permanently closed businesses is more than three times higher than the number of enterprises which were closed temporarily.

Table 3.2: Distribution of MSMEs at the end of the year 2022 by gender distribution of the main decision maker¹

Present Status	Male		Female		Total	
	No. of MSMEs	%	No. Of MSMEs	%	No. of MSMEs	%
	(000')		(000')		(000')	
Active	871.7	84.0	165.5	16.0	1,037.1	100.0
Temporarily closed	44.8	79.3	11.7	20.7	56.6	100.0
Permanently closed	169.6	86.0	27.6	14.0	197.2	100.0
Total	1,086.0	84.1	204.8	15.9	1,290.9	100.0

Table 3.2 reveals that 84 percent of currently active businesses were headed by males while only 16 percent were headed by female entrepreneurs. Similar distribution can be observed in the MSMEs that were active in 2018. Analyses of closed businesses disclose that, the number of MSMEs headed by females which are permanently closed is higher than that of the temporarily closed.

Table 3.3: Percentage distribution of closed MSMEs by the year of closure (2018 to 2022)

Year of Closure	%
2019	9.9
2020	33.4
2021	27.4
2022	29.3
During 2018 to 2022	100.0

The Percentage of businesses closed was highest in 2020 while smallest percent is reported in the year 2019. When compared to the closure of businesses in 2019, more than 15 percent of businesses have been either temporarily or permanently closed in the following years.

³Gender of the owner of about 9.4 thousand of businesses were unreported
Closing year was not reported in several no. of closed businesses. Hence the percentages in table 2.3 were calculated out of the total number of businesses those closing years were reported

Table 3.4: Status of MSMEs by the reported reason for closure

Status	No. of MSMEs (000')	%
Active	1,037.1	79.8
Closed due to economic crisis	108.1	8.3
Closed due to reasons other than economic crisis	155.0	11.9
Total	1,300.3	100.0

Table 3.4 discloses that out of the businesses that were active at the end of year 2018, 8.3 percent were reported closed due to the economic crisis, while almost 12 percent stated the reason for closure was other than economic crisis.

Table 3.5: Percentage distribution of closed MSMEs by reported reason for closure

Reason for closure	% of MSMEs closed	
	Yes	No
Economic crisis	41.1	58.9
Covid	45.3	54.7
Other	30.3	69.7

According to Table 3.5, economic crisis has affected and was the reason for closure for 41.1 percent of businesses that were active in 2018. Where, the economic crisis has not affected the closure of 58.9 percent of businesses. Also, Covid pandemic has caused 45.3 percent of businesses to close and besides these reasons; other reasons have also been behind the closure of 30 percent MSMEs. Comparatively higher percentage of MSMEs reported Covid pandemic was the main reason for closing down their businesses. Considering this fact with the finding that a higher percentage of businesses were also closed in 2020 as depicted in Table 3.3, reveals that the origin of the current economic crisis dates back to the onset of Covid pandemic

Table 3.6: Status of businesses by scale at the end of the year 2022

Scale	Active		Closed due to economic crisis		Closed due to reasons other than economic crisis		Total	
	No. (in 000')	%	No. (in 000')	%	No. (in 000')	%	No. (in 000')	%
Micro	948.9	78.8	105.6	8.8	149.1	12.4	1,203.6	100.0
Small	80.8	91.7	2.4	2.7	4.9	5.6	88.0	100.0
Medium	7.5	86.8	0.1	1.3	1.0	11.9	8.7	100.0
Total	1,037.1	79.8	108.1	8.3	155.0	11.9	1,300.3	100.0

As depicted in Table 3.6, a percentage of 78.8 businesses in the Micro sector were active whereas for small and medium sectors it was 91.7 percent and 86.8 percent respectively. Accordingly Least number of businesses has been closed in the small sector. By considering the scale of businesses all the MSMEs sector have cited reasons for their closure that extend beyond the economic crisis indicating that factors other than economic crisis played a significant role in closures. It is natural that

businesses falling within the micro sector start and close very often. Yet 105,600 businesses in micro sector, 2,400 in small sector and about 100 in medium sector have been closed due to the economic crisis. When consider a proportion of percentages of businesses closed due to economic crisis to the reasons other than economic crisis highest increase in percentages is reported in the medium sector, which has risen from 0.1 percent to 11.9 percent.

Table 3.7: Percentage distribution of the status of businesses by the main economic sector and by the scale of businesses (at the end of the year 2022)

Main Economic Sector	Micro			Small			Medium		
	Active	Closed Economic Crisis	Closed covid or other	Active	Closed Economic Crisis	Closed Covid other	Active	Closed Economic Crisis	Closed covid or other
Industry	78.5	9.8	11.7	87.1	5.6	7.3	92.7	1.5	5.7
Trade	79.8	9.1	11	96.6	0.9	2.5	97.1	1.1	1.7
Services	78.4	8.2	13.4	90.0	2.3	7.7	77.2	1.2	21.6
Total	78.8	8.8	12.4	91.7	2.7	5.6	86.8	1.3	11.9

Table 3.7 presents the present operational status of businesses by main economic sectors within each MSME category. The Highest percentage of businesses closed due to economic crisis was recorded in industry sector compared to trade and services sectors. The Least percentage of active businesses (77%) and highest percentage of closed

businesses (22.8%) were reported in medium sector service activities. Furthermore, 21.6 percent of the businesses in medium sector service activities were closed due to reasons other than economic crisis.

Figure 3.2
Percentage of Main Economic Sector

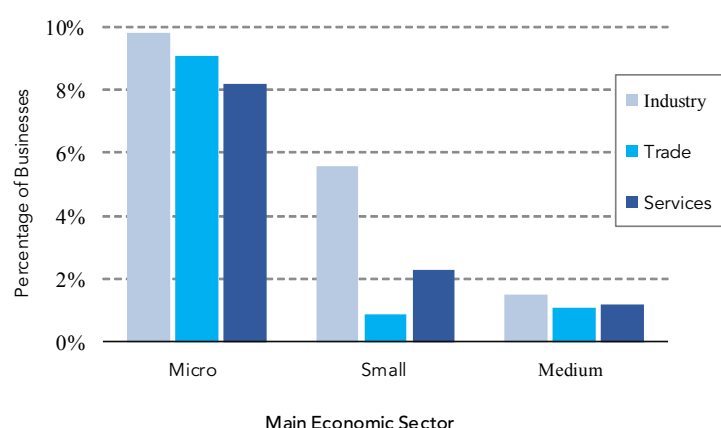


Figure 3.2: Percentage distribution of closed businesses due to economic crisis by the main economic sector and by the scale of businesses (at the end of the year 2022)

As Figure 3.2 illustrates, more than 8 percent of micro enterprises have been closed due to economic crisis in all three economic sectors (industry, trade and services). At the same time, MSMEs of industry sector recorded the highest percentage of closure due to economic crisis. The

trade activities of small sector recorded the least percentage of closure due to the economic crisis. But when compared to micro and small enterprises of services sector, the percentage related to the closure due to economic crisis of medium enterprises is lower. The percentages of closed businesses of all three economic sectors due to economic crisis are less than 2 percent for all Medium Sector businesses

Chapter 4

Impact of Economic Crisis

4.1 Introduction

Chapter 4 is dedicated to providing a comprehensive analysis of MSMEs that were in operation during the period 2018-2022. Totally a number of 1,037,100 MSMEs were active in 2022 that were in operation in 2018. Hence, only these enterprises are taken for examining the impact caused by economic crisis or other factors.

Initially, we examined how the number of MSMEs within the scale and their workforce has changed

over the period 2018-2022. Subsequently, we delve into how these enterprises struggled with multifaceted challenges of economic crisis and the strategies taken to mitigate those effects are analyzed.

This chapter also provides a scrutiny of financial management practices within enterprises in the year 2022. Finally, it assesses the potential prospects for the MSMEs in the future and outlines anticipated governmental interference for recovering from the effects of the economic crisis.

4.2 Impact on Number of MSMEs and Employment

Table 4.1: No.of businesses and person engaged by scale and change during 2018 -2022

Indicator	Scale	2018	2019	2020	2021	2022
Number of Businesses (in 000')	Micro	934.2	942.8	982.6	972.6	948.9
	Small	88.4	82.1	48.4	58.3	80.8
	Medium	14.5	12.2	6.1	6.2	7.5
	Total*	1,037.1	1,037.1	1,037.1	1,037.1	1,037.1
Change of the businesses with respect to 2018 (%)	Micro	100.0	100.9	105.2	104.1	101.6
	Small	100.0	92.8	54.8	66.0	91.3
	Medium	100.0	84.3	42.0	42.5	51.7
	Total*	100.0	100.0	100.0	100.0	100.0
No. of Persons engaged (in 000')	Micro	1,637.8	1,635.2	1,686.7	1,644.7	1,673.3
	Small	673.3	630.5	414.6	456.2	586.3
	Medium	485.5	414.4	262.4	266.1	291.6
	Total	2,796.6	2,680.1	2,363.7	2,367.0	2,551.2
Change of the person engaged with respect to 2018 (%)	Micro	100.0	99.8	103.0	100.4	102.2
	Small	100.0	93.6	61.6	67.8	87.1
	Medium	100.0	85.4	54.0	54.8	60.1
	Total	100.0	95.8	84.5	84.6	91.2

* Total number of businesses, functioned from 2018 to 2022 was considered for the survey

The percentage changes with respect to the year 2018 were given in the table to understand the magnitude of the changes in the scale of enterprises and the employment over the period. As the scale of enterprises determined by the employment size, the fluctuation in employment size play a pivotal role in analysing the changes in number of MSMEs over the period.

Number of small and medium-sized enterprises showed an abrupt decrease. small scale enterprises are changed from 82.1 in 2019 to 48.4 thousand in 2020 and medium scale enterprises, from 12.2 thousand in 2019 to 6.1 thousand in 2020. A significant increase of micro enterprises was observed from 2018 to 2020 (1.6%). However, this increase has fallen down to 948.9 thousand in 2022.

The shifts in the composition of business scales from 2018, clearly explain how the business world is changing and getting bigger or different. Comparing to the baseline year of 2018, there has been a notable up surge of 105.2 percent in the number of micro-sector businesses by 2020. This trend continued into 2022, where the growth remained substantial at 101.6 percent, featuring a persistent expansion in numerical terms.

Notably, the significant percentage fluctuations in the composition of small and medium-scale enterprises bear

testament to the adaptive strategies employed by businesses to navigate the challenges posed by the pandemic and economic crisis during this period. Significant changes are evident in the number of people working in small and medium-sized businesses (MSMEs) between 2018 and 2022. The total employment numbers shifted from 2,796.6 thousand in 2018 to 2,551.3 thousand in 2022, indicating a clear decrease. This decline can be attributed to job losses caused by the Covid-19 pandemic and economic crisis.

The increase in employment by micro-scale enterprises highlights the shifts in business sizes and their contribution to overall employment. Micro-scale businesses expanded their workforce from 1,637.8 thousand in 2018 to 1,686.7 thousand in 2020. They have sustained this growth, employing 1,673.3 thousand people in 2022, compared to 2018. However, small and medium enterprises (MSMEs) faced more challenges. The small sector lost employment by decreasing from 673.3 thousand in 2018 to 414.6 thousand in 2020. Similarly, the medium sector faced the drop of employment from 485.5 thousand in 2018 to 262.4 thousand in 2020. There has been a slight recovery in both sectors since 2020, but the impact of the pandemic and economic crisis is still noticeable.

Figure 4.1
Interchange of number of business by scale during 2018 - 2022

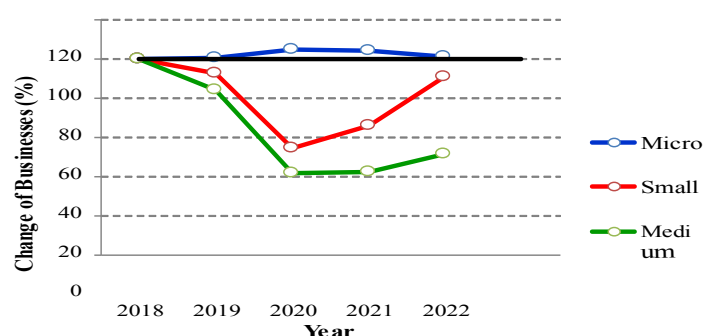


Figure 4.1 simplifies how businesses changed in size from 2018 to 2022. The horizontal axis shows the years from 2018 to 2022, and the vertical axis displays the changes in the percentages of micro, small, and medium-sized businesses. This line graph helps us to understand the impacts of the Easter Sunday attack, COVID-19, and economic crisis on different types of businesses in the country.

The graph clearly indicates that between 2019 and 2021, medium-businesses were hit the hardest. Around 42% of small businesses managed to withstand the crisis during 2020 and 2021. Even though there was a slight recovery up to 51.7 percent, many still face challenges.

Small businesses faced similar struggles at 54.8 percent, but their recovery was relatively better compared to medium-sized ones. Interestingly, the graph also shows an increase in the number of micro businesses over the period. This might be

because some companies reduced their workforce to avoid going bankrupt. Additionally, due to social and economic needs, new small businesses emerged, leading to the rise in micro companies during this time.

Table 4.2: No. of persons engaged by main employment category and by main economic sector 2018 – 2022 – (in 000')

Category of employment	Scale	2018	2019	2020	2021	2022
Administrative/managerial/ professional staff including active directors, working proprietors etc.	Industry	229.1	226.9	215.8	215.1	220.6
	Trade	357.8	358.4	354.6	357.3	364.3
	Services	598.5	591.5	591.2	589.6	586.5
	Total	1,185.4	1,176.8	1,161.6	1,162.1	1,171.4
Technical/supervisory/ other operational staff/ clerical and other related services	Industry	569.6	526.2	396.4	391.6	405.2
	Trade	279.9	267.4	209.7	209.5	237.4
	Services	427.8	381.8	277.2	282.2	367.3
	Total	1,277.3	1,175.5	883.3	883.4	1,009.9
Contributing family workers	Industry	101.2	101.0	98.2	98.9	99.9
	Trade	138.3	138.9	136.0	138.1	144.4
	Services	94.3	88.0	84.6	84.5	125.6
	Total	333.8	327.8	318.9	321.5	369.9
Total	Industry	899.9	854.1	710.4	705.6	725.7
	Trade	776.1	764.7	700.3	704.9	746.1
	Services	1,120.5	1,061.3	953.0	956.4	1,079.4
	Total	2,796.6	2,680.1	2,363.7	2,367.0	2,551.2

Table 4.2 illustrates the number of individuals engaged by main employment category and by main economic sector 2018 – 2022. It becomes evident that the years 2020 and 2021 hold significant importance for the businesses in Industry Trade and Service sectors. These two years witnessed a notable decline in total employment across sectors as compared to the baseline year 2018. However, in 2022, a marginal increase in employment can be observed in each sector, although the disparity from the initial years persists.

A particularly striking trend is the rapid decrease in employment across all categories within the industry sector. Interestingly, there has been an increase in the employment of Administrative/Managerial/Professional staff, active directors, working proprietors, and contributing family workers within the trade sector over the period under consideration except a slight decrease in 2020. Notably, overall, while employment across all categories exhibits a fluctuation within the years until 2021, it can be seen slight increase in 2022. as seen in the table,

Table 4.3: No. of persons engaged by main employment category and by scale 2018 – 2022 – Industry sector (in 000')

Category of employment	Scale	2018	2019	2020	2021	2022
Administrative/managerial/professional staff including active directors, working proprietors etc.	Micro	160.7	160.1	169.5	169.0	168.2
	Small	48.3	48.4	33.4	33.7	39.8
	Medium	20.1	18.4	13.0	12.5	12.6
	Total	229.1	226.9	215.8	215.1	220.6
Technical/supervisory/ other operational staff/clerical and other related services	Micro	124.1	115.6	111.4	99.0	103.8
	Small	200.5	189.5	127.3	130.2	132.2
	Medium	245.0	221.1	157.7	162.4	169.1
	Total	569.6	526.2	396.4	391.6	405.2
Contributing family workers	Micro	74.9	74.6	80.4	79.6	78.1
	Small	18.8	19.7	12.2	13.7	15.8
	Medium	7.5	6.7	5.6	5.6	5.9
	Total	101.2	101.0	98.2	98.9	99.9
Total	Micro	359.7	350.4	361.2	347.6	350.1
	Small	267.6	257.6	173.0	177.6	187.9
	Medium	272.6	246.1	176.2	180.4	187.7
	Total	899.9	854.1	710.4	705.6	725.7

Table 4.3 shows the number of persons engaged by main employment category and by scale 2018 – 2022 in the industry sector of MSMEs. It can be seen abrupt drop of employment in small and medium enterprises in 2020 and slight increase in 2021 and it continued to 2022. In terms of micro enterprises, employment count dropped down in 2021 and slow recover visible in 2022.

Administrative/managerial/professional staff including active directors, working proprietors category is one of the key positions of every enterprise, as seen in the table, in small and medium enterprises, it is clearly visible sudden drop of employment and it continues to 2022.

Technical/supervisory/ other operational staff/clerical and other related services category employment in the MSMEs are prominent of industry sector and shows majority in every scale and ranged 569.6 thousand 405.2 thousand during the period. With the fluctuations of years and a drastic drop in 2020 is

evident and somewhat recovered in 2021. Employment of Small scales enterprises has fallen from 200.5 thousand in 2018 to 132.2 thousand in 2022 with abrupt fall in 2020 to 127.3 thousand. Medium scale businesses faced a considerable dropping out of this employment category especially within a year, from 2018, 245.1 thousand to 221.1 thousand and further down in 2019 to 157.7 thousand, which could not recovered even in 2022 to the level in 2018.

Contributing Family Workers in SMES of industry sector is also another important category which plays prominent role in micro and small enterprises than medium scale enterprises. During the period of concern, involvement of this category in micro sector continued without many changes except in 2021. Small and medium enterprises show less employment in this job category. As described by the figures, country's situation in 2020 is affected to drop down of numbers and slight increase can be seen from 2021.

Table 4.4: No. of persons engaged by main employment category and by scale 2018 – 2022 – Trade sector (in 000')

Category of employment	Scale	2018	2019	2020	2021	2022
Administrative/managerial/ professional staff including active directors, working proprietors etc	Micro	299.7	308.0	319.8	316.6	310.6
	Small	47.6	42.8	30.7	36.9	49.4
	Medium	10.5	7.5	4.0	3.9	4.2
	Total	357.8	358.4	354.6	357.3	364.3
Technical/supervisory/ other operational staff/clerical and other related services	Micro	90.3	91.2	91.4	81.2	82.6
	Small	119.3	127.1	95.6	105.6	129.8
	Medium	70.4	49.2	22.6	22.8	25.0
	Total	279.9	267.4	209.7	209.5	237.4
Contributing family workers	Micro	117.6	121.6	123.0	121.6	123.0
	Small	17.2	16.2	12.7	16.1	21.1
	Medium	3.4	1.1	0.3	0.4	0.4
	Total	138.3	138.9	136.0	138.1	144.4
Total	Micro	507.6	520.8	534.2	519.3	516.2
	Small	184.1	186.1	139.1	158.6	200.3
	Medium	84.3	57.8	27.0	27.0	29.6
	Total	776.1	764.7	700.3	704.9	746.1

Table 4.4 provides insights into the number of individuals engaged in the Trade sector across MSME categories from 2018 to 2022. In the initial year, 2018, the total employment in the trade sector stood at 776.1 thousand individuals. Among them, a significant 507.6 thousand (65.4%) were engaged in Micro enterprises, while 184.1 thousand (23.7%) and 84.3 thousand (10.9%) were part of the small and medium sectors, respectively in 2018. This distribution pattern persisted over the years, with the small sector witnessing an increase until 2020, followed by a slight dip in 2021 and 2022. Notably, the small sector experienced a minor decline in 2020 but displayed consistent growth in subsequent years. The Medium sector experienced a notable decrease in employment, with marginal increases observed in 2022.

Micro-level enterprises displayed the highest engagement of Administrative / Managerial / Professional staff, including active directors and working proprietors, when compared to small and medium-scale businesses. This number increased in 2021 but exhibited a slight decline in 2022. In contrast, small-scale businesses experienced a minor increase in 2022, yet there was a clear decrease in medium-scale businesses compared to 2018.

The employment category of Technical/Supervisory/ Operational staff and Clerical/Other Related Services exhibited fluctuations. Notably, medium-scale enterprises saw a significant decline in this staff category throughout the period. Despite this, medium-scale enterprises were unable to entirely mitigate workforce reductions.

A consistent upward trend in the number of contributing family workers was observed in micro-scale businesses. Small-scale businesses also demonstrated resilience by increasing their employment figures. However, a substantial decrease in the employment of contributing family workers was evident in the medium sector.

Regarding the Contributing Family Workers category, micro and small-scale businesses enterprises played a pivotal role throughout the period, maintaining job security relatively well. This contrasted with medium-scale businesses, where variations were more pronounced.

Overall, the data highlights the distinctive trends in employment across MSME categories within the Trade sector during the specified period and this change can be attributed by the employment reduction.

Table 4.5: No. of persons engaged by main employment category and by scale 2018 – 2022 – Services sector (in 000')

Category of employment	Scale	2018	2019	2020	2021	2022
Administrative/managerial/ professional staff including active directors, working proprietors etc	Micro	528.2	531.2	552.9	547.2	526.0
	Small	52.1	43.0	26.2	30.2	44.6
	Medium	18.2	17.3	12.1	12.3	15.8
	Total	598.5	591.5	591.2	589.6	586.5
Technical/supervisory/ other operational staff/clerical and other related services	Micro	163.0	158.1	160.5	156.5	174.4
	Small	155.6	131.7	70.4	80.2	136.0
	Medium	109.2	92.0	46.4	45.5	56.9
	Total	427.8	381.8	277.2	282.2	367.3
Contributing family workers	Micro	79.3	74.7	77.9	74.0	106.5
	Small	13.9	12.1	6.0	9.6	17.5
	Medium	1.1	1.1	0.8	0.9	1.5
	Total	94.3	88.0	84.6	84.5	125.6
Total	Micro	770.5	763.9	791.2	777.7	807.0
	Small	221.6	186.9	102.6	120.0	198.1
	Medium	128.5	110.5	59.2	58.7	74.3
	Total	1,120.5	1,061.3	953.0	956.4	1,079.4

The table 4.5 presents employment data for different categories within the Micro, Small, and Medium Enterprises (MSMEs) sector for the years 2018 to 2022 in service Sector. In the Micro enterprises, the number of administrative, managerial, and professional staff increased from 528.2 thousand in 2018 to 552.9 thousand in 2020. Later it has decreased from 2021 to 2022. In the Small and Medium enterprises, staff in this category slightly decreased from 2018 to 2020 and increased slightly to 2022. The total number of administrative, managerial, and professional staff across all enterprise sizes showed decrease from 2018 to 2022.

In the Micro and Medium enterprises, the number of Technical/supervisory/ other operational staff/

clerical and other related services staff shows a decrease from 2018 to 2021. Later that number has increased from 2021 to 2022. In small enterprises, this category of staff shows a minimum number in the year 2020

In Small and Medium enterprises, the number of contributing family workers category shows the minimum number in 2020. But in Micro sector shows a fluctuation pattern from 2018 to 2020. The total number of employees in all three MSMEs sectors in this service sector shows a minimum in the year 2020. The total number of employees in the small and medium sector also shows a minimum value in the year 2020. But the micro sector shows a fluctuation from 2018 to 2022

4.3 Difficulties and coping strategies

Table 4.6: Percentage distribution of establishments by identified difficulties in financial management by scale - 2022

Experience	Micro Sector			Small Sector			Medium Sector		
	Yes	No	Total	Yes	No	Total	Yes	No	Total
Having any outstanding debts	45.6	54.4	100	55.3	44.7	100	53.8	46.2	100
Facing hardships in repaying its debts	42.7	57.3	100	50.8	49.2	100	46.7	53.3	100
Difficulties in accessing financial facilities due to the current economic crisis	39.4	60.6	100	47.3	52.7	100	50.1	49.9	100

Table 4.6 illustrates the percentage distribution of enterprises by identified difficulties in financial management by scale for the year 2022. The results are focused on gauging the experiences of enterprises in three main areas of financial management: outstanding debts, difficulties in repaying debts, and access to financial facilities amidst the prevailing economic crisis. The findings reveal distinct patterns in the financial management experiences across the three sectors: micro, medium, and small as depicted in Table 4.6.

The first section, "**Having any outstanding debts**", the Micro Sector demonstrates a prevalence of enterprises with outstanding debts, with 45.6 percent reporting affirmative cases. In contrast, the Small Sector exhibits a relatively higher proportion of enterprises (55.3%) grappling with outstanding debts, while the Medium Sector records a comparable 53.8 percent facing similar circumstances. This indicates that the small and medium sectors exhibit relatively higher financial exposure, potentially influenced by factors such as operational scale, supply chain and market competency. Across all sectors, a significant proportion of enterprises are grappling with this challenge, underscoring the need for effective debt management strategies.

The second section, "**Facing hardships in repaying its debts**", within the Micro sector, 42.7 percent of enterprises report facing hardships in repaying their debts, indicating a considerable burden on this segment. The Small sector reflects a relatively higher

challenge with 50.8 percent encountering difficulties in repayment. The Medium sector reports a slightly lower but still notable 46.7 percent. These figures collectively underscore the importance of financial resilience and adaptability, particularly in uncertain economic times.

The third section, "**Difficulties in accessing financial facilities due to the current economic crisis**", the challenge of accessing financial facilities amid the ongoing economic crisis is evident across all sectors. In the Medium sector, 50.1 percent of enterprises report difficulties, followed by 47.3 percent in the Small sector and 39.4 percent in the Micro sector. The need for accessible financial resources to support business operations is highlighted, with the crisis further emphasizing the importance of robust financial networks.

Overall, the table provides a comprehensive overview where it shows that a significant proportion of these enterprises have outstanding debts and are having difficulties in repaying them. This is likely due to the current economic crisis, which has made it more difficult for businesses to obtain financing. The table also shows that a significant proportion of enterprises are experiencing difficulties in accessing financial facilities due to the current economic crisis. These challenges are likely to have a significant impact on the growth and sustainability of these businesses in the coming months and years.

Table 4.7: Percentage distribution of the establishments by credit obtained sources and by scale - 2022

Sources	Scale		
	Micro	Small	Medium
Bank	67.4	79.2	91.0
Other financial institution	39.8	29.9	25.9
Money lender	13.4	14.8	8.7
Other	2.8	1.7	1.3

Table 4.7 illustrates the percentage distribution of the enterprises which are having outstanding debts by credit obtained sources and by scale in 2022. The provided data elucidates the diverse array of financing sources utilized by enterprises within the Micro, Small, and Medium Enterprises (MSMEs) sector. Categorized into the domains of Bank Financing, Other Financial Institutions, Money Lenders, and Other Sources, these statistics encapsulate the financial landscape of MSMEs across different tiers.

Overall, the table shows that banks are the most common source of credit facilities for MSMEs in Sri Lanka followed by other financial institutions. Money lenders and other sources are also important sources of credit facilities but to a lesser extent. In the context of Bank financing, the data portrays an ascending trend in dependency as the enterprise scales up, with 67.4 percent, 79.2 percent, and 91.0 percent of Micro, Small, and Medium enterprises respectively securing funds through banking channels. This underscores the pivotal role of formal banking mechanisms in fostering growth among scale-up enterprises. Interestingly, the data reveals a reverse dynamic when it comes to other financial institutions. While 39.8 percent of Micro enterprises

avail credit through such sources, this proportion diminishes to 29.9 percent for Small enterprises and 25.9 percent for Medium enterprises.

The data also underscores a reliance on traditional forms of financing such as Money Lenders, particularly prominent among Micro and Small enterprises, where 13.4 percent and 14.8 percent respectively resort to such sources. Furthermore, the study also acknowledges the presence of alternative sources (2.8% for Micro, 1.7% for Small, and 1.3% for Medium enterprises), showing the ability to find different ways to bring in money for the businesses.

In sum, the credit facility distribution within the MSMEs sector in 2022 illustrates the multifaceted landscape of financing sources by the scale of the enterprises. It underscores the centrality of formal banking for Medium enterprises, the evolving role of other financial institutions, and the need to address informal financing channels. Further, this analysis underscores the importance of tailored financial solutions that accommodate the distinct needs of different enterprise scales, furthering the sector's role as an engine of economic growth. This movement is clearly depicted in the figure 4.2 as follows.

Figure 4.2
Percentage distribution of the establishments by credit obtained sources and by scale - 2022

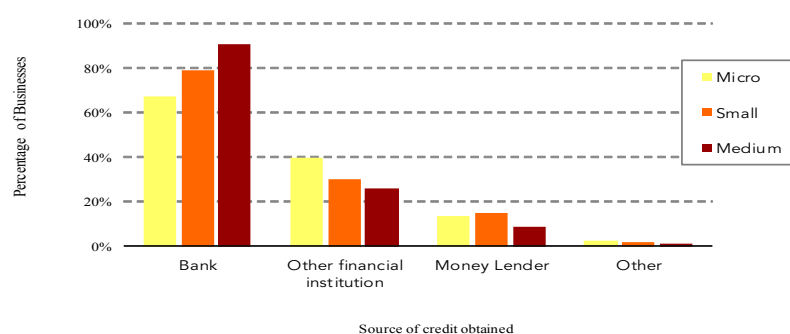


Table 4.8: Percentage distribution of establishments by the strategies adopted for loan settlement and by scale - 2022

Strategies	Scale		
	Micro	Small	Medium
Obtaining new loan or other financial facility	34.5	36.0	44.0
Debt restructuring by financial institutions	42.3	54.3	52.2
Disbursement of company assets, utilization of savings/fixed deposits of the business	21.4	34.4	32.3
Increasing the solvency of the business by limiting its expenses	27.7	37.0	49.8
Liquidating personal assets, withdrawing FDs, pawning or managing with personal resources	37.0	48.2	32.3
Other	1.1	0.3	0.5
No action taken	9.2	2.7	1.1

The table 4.8 shows the percentage distribution of the enterprises by the strategies adopted to mitigate the difficulties in repaying debts and by scale in 2022. These percentages depict how different strategies for loan settlement in 2022 were embraced by enterprises across various scales within the MSMEs sector. Each strategy's adoption is delineated within the Micro, Small, and Medium enterprise categories, offering insights into the diverse approaches taken by businesses to manage their loan obligations.

Obtaining New Loans or Financial Facilities:

One of the most noticeable observations from the data is that obtaining new loans or other financial facilities was a prevalent strategy across all scales. Micro and Small enterprises accounted for 34.5 percent and 36.0 percent, respectively, adopting this approach. Medium-scale enterprises, however, demonstrated a higher reliance on this strategy, with 44.0 percent opting for new loans. This suggests that access to additional funding remains a key consideration for enterprises of all sizes when tackling debt challenges.

Debt Restructuring by Financial Institutions:

Debt restructuring emerged as the prominent approach for enterprises, particularly among Small and Medium scales. Noteworthy, 54.3 percent of Small enterprises and 52.2 percent of Medium enterprises pursued this strategy. Micro enterprises also displayed a notable inclination (42.3%) towards this strategy. This might indicate a recognition of the importance of renegotiating the terms of existing debt to make them more manageable. Debt restructuring offers an avenue to extend repayment schedules, adjust interest rates, and possibly reduce the overall burden. The higher

adoption rate among small and medium enterprises underscores the potential impact of this strategy on their financial sustainability.

Disbursement of Company Assets and Utilization of Savings/Fixed Deposits:

The strategy of utilizing company assets and savings/fixed deposits as a means to alleviate debt pressures was notably more prevalent among Small and Medium enterprises. This approach was adopted by 34.4 percent of small businesses and 32.3 percent of medium businesses. These enterprises might be willing to liquidate their assets or use their savings to address immediate debt obligations. However, Micro enterprises (21.4%) exhibited a lower adoption rate, possibly due to limited resources, risk aversion approach, lack of financial planning etc.. Nonetheless, caution must be exercised, as a significant asset disbursement could impact the overall business operations and future growth potential.

Increasing Business Solvency by Limiting Expenses:

The strategy of increasing business solvency by limiting expenses was favored by Medium Enterprises (49.8%), indicating a deliberate effort to control costs and enhance financial stability. This could stem from the comparatively larger operational scope of medium enterprises and their ability to adjust expenditures to improve financial health. Small Enterprises (37.0%) also displayed a substantial utilization of this strategy. Micro Enterprises (27.7%) exhibited a slightly lower adoption rate, possibly due to the challenges of significant cost reduction at micro scales.

Liquidating Personal Assets, Withdrawing FDs, Pawning, or Personal Resources:

The data underscores a noteworthy trend wherein a significant proportion of enterprises, across all scales, turned to liquidating personal assets, withdrawing fixed deposits, pawning items, or managing with personal resources as a strategy to address debt repayment challenges. This strategy was particularly pronounced more prominently by Small enterprises (48.2%), with Micro-enterprises (37.0%), and Medium enterprises (32.3%) also displayed a comparable usage rate. It reflects the willingness of business owners to invest personal resources to sustain their enterprises and meet debt obligations. However, it could expose them to personal financial risks and might not be a sustainable long-term solution.

Other Strategies:

A small percentage of Micro (1.1%), Small (0.3%) and Medium (0.5%) enterprises reported adopting other

strategies for loan settlement possibly reflecting their innovative approaches to debt mitigation.

No action taken

Among the spectrum of strategies adopted for loan settlement by, some of the enterprises in all scales reveal that they have not adopted any strategies to mitigate the difficulties in settling their loans. The noteworthy presence of "no action taken" within the data signifies a concerning trend, particularly among Micro enterprises (9.2%). This approach could stem from limited awareness, denial, or an inability to access appropriate strategies. Nonetheless, it is important to assess the long-term implications of such a stance on the financial health and sustainability of these establishments.

Overall, the data suggests that MSMEs are facing a number of financial challenges and the data analysis reveals the diverse range of strategies adopted by MSMEs for loan settlement.

Table 4.9: Percentage distribution of establishments by ability to repay loans by scale - 2022

Scale	Ability to repay		Total
	Yes	No	
Micro Sector	88.2	11.8	100.0
Small Sector	92.7	7.3	100.0
Medium Sector	95.3	4.7	100.0

The presented data in the table 4.9 offers a comprehensive insight into the ability of enterprises, categorized by scale (Micro, Small, and Medium), to meet their loan repayment commitments in the year 2022.

In the Micro sector, a significant 88.2 percent of enterprises assert their capacity to fulfill loan obligations, effectively leveraging the adopted strategies. Conversely, 11.8 percent acknowledge grappling with an inability to repay debts entirely. Moving to the Small sector, 92.7 percent of businesses express confidence in their repayment capabilities, with 7.3 percent citing inability. This positive trajectory further highlights in the Medium

sector, where an impressive 95.3 percent of enterprises assert their capacity to repay loans, with only 4.7 percent confronting inability.

This pattern underlines a direct correlation between the scale of an enterprise and its loan repayment ability. As businesses ascend from Micro to Small and Medium, they tend to exhibit heightened financial stability and resilience, enabling them to honor their loan obligations more effectively. The ability to repay loans not only reflects the financial health of an enterprise but also underscores the significance of access to funding, adaptive financial management, and strategic planning in ensuring sustainability and growth.

Table 4.10: Percentage distribution of establishments by issues in accessing financial facilities due to prevailing economic crisis and by scale of Businesses - 2022

Issues	Scale		
	Micro	Small	Medium
Increase in interest rates	88.8	92.3	89.8
Decrease in repayment capacity due to reduction in income	76.9	73.3	67.8
Restriction of credit facilities by banks and financial institutions	54.7	53.6	54.7
Inability to find assets or guarantors for collateral	34.1	27.6	21.4
Name of the institution or owner mentioned in the CRIB for defaulting loan	11.3	15.8	5.2
Other	0.4	0.3	0.4

The table 4.10 illustrates the percentage of MSMEs, which are facing difficulties in accessing financial facilities due to the prevailing economic crisis and by scale of Business.

According to the survey data, shows in the above table, the most common difficulty that MSMEs are facing is the "Increasing of Interest Rates". The "Increasing of Interest Rates" has had a severe impact on all scales of enterprises (micro, small, and medium). As a consequence of the "Increasing Interest Rates", a significant majority of micro-scaled enterprises (88.8%), small-scaled enterprises (92.3%), and medium-scaled enterprises (89.8%) have encountered challenges in accessing financial facilities.

The second prominent challenge confronted by all three categories of enterprises pertains to the "Decline in Repayment Capacity Resulting from a Reduction in Income". This issue has significantly affected for 76.9 percent of micro enterprises, 73.3 percent of small enterprises, and 67.8 percent of medium enterprises.

"The Restriction of Credit Facilities by Banks and Financial Institutions" has had a significant impact on micro, small, and medium-scaled enterprises (MSMEs), affecting almost a similar percentage across all sectors. For instance, 54.7 percent of micro enterprises, 53.6 percent of small enterprises, and 54.7 percent of medium enterprises have been affected by this challenge. The "Inability to find Assets or Guarantors for Collateral" is another challenge for MSMEs, but the impact has been lower than the above-mentioned

three reasons. For instance, 34.1 percent of micro enterprises, 27.6 percent of small enterprises, and 21.4 percent of medium enterprises have been affected by this challenge.

Additionally, 11.3 percent of Micro, 15.8 percent of Small and 5.2 percent of Medium enterprises faced difficulties in accessing financial facilities due to their "Name of the institution or owner mentioned in the CRIB for defaulting loan." Lastly, "Other" reasons accounted for minimal obstacles in accessing financial facilities, affecting only 0.3 percent across all MSMEs sectors.

In summary, the prominent challenge encountered by enterprises across all scales is "Increasing of Interest Rates" an overwhelming proportion of 9 out of every 10 enterprises have undergone a substantial ordeal due to the exacerbated interest rate surge. "Decrease in repayment capacity due to reduction in income" is notably afflicting 70 percent of enterprises across all scales in light of the prevailing economic crisis. Subsequently, the third salient challenge manifests as the "Restriction of credit facilities by banks and financial institutions," impacting slightly over 50 percent of enterprises. "Inability to find Assets or Guarantors for collateral" is been fourth major challenge which is approximately 1 out of every 3 enterprises in Micro and Small scale 1 out of every 05 enterprises in Medium scale enterprises.

Table 4.11: Percentage distribution of establishments by the strategies adopted to mitigate the difficulties in accessing financial facilities and by Scale - 2022

Strategies	Scale		
	Micro	Small	Medium
Obtaining service of money lenders	29.1	29.2	19.0
Disbursement of company asset	10.9	17.0	13.9
Limiting business expenses	46.0	62.4	66.1
Utilization of savings/fixed deposits of the business	27.1	40.9	36.9
Limiting the activities by stopping/reducing the import/trade of specific items or services	15.2	21.4	16.9
Liquidating personal assets, withdrawing FDs, pawning or managing with personal resources	33.6	38.9	34.5
Other	1.1	1.8	1.6
No action taken	15.3	5.1	11.6

Table 18 describes the proportional distribution of establishments categorized by the strategies to enhance the capacity and mitigate the impact in dealing with challenges associated with accessing financial facilities, further dis-aggregated by the MSMEs sector for the year 2022. In the face of impediments concerning the execution of financial facilities, enterprises have engaged a spectrum of remedies, explained upon comprehensively within the antecedently referenced tabular presentation. Establishments by the strategies adopted to mitigate the difficulties in accessing financial facilities and by Scale.

As a strategy to alleviate challenges in accessing financial facilities, 46 percent of Micro enterprises, 62.4 percent of Small enterprises, and 66.1 percent of Medium enterprises have opted to "curtail their own business activities". The second strategy that most of MSMEs opted to manage financial requirements is "Liquidating personal assets, withdrawing FDs, pawning or managing through personal resources". It has used 33.6 percent of Micro enterprises, 38.9 percent of Small enterprises, and 34.5 percent of Medium enterprises.

The third foremost additional strategy adopted by a substantial proportion of Micro, Small, and Medium Enterprises (MSMEs) involves the management of financial requisites through "Utilization of savings/fixed deposits of the business", the strategy has been employed by 27.1 percent of Micro enterprises, 40.9 percent of Small enterprises, and 36.9 percent of Medium enterprises.

"Obtaining services from money lenders" to mitigate the difficulties in accessing financial facilities has been the strategy for 29.1 percent of Micro enterprises, 29.2 percent of Small enterprises, and 19.0 percent of Medium enterprises. As well as, 15.2 percent of Micro enterprises, 21.4 percent of Small enterprises, and 16.9 percent of Medium enterprises "limited the activities by stopping/ reducing the import/ trade of specific items or services" as a strategy of mitigating difficulties in accessing financial facilities.

In order to mitigate the financial crisis in the operation of the business, 10.9 percent of micro enterprises, 17.0 percent of Small enterprises and 13.9 percent of Medium enterprises have to disburse their own assets while significant number of MSMEs has "not taken any action" to mitigate the difficulties in accessing financial facilities.

Table 4.12: Percentage distribution of enterprises by challenges faced due to the prevailing economic crisis by

Experience	Micro Sector			Small Sector			Medium Sector		
	Yes	No	Total	Yes	No	Total	Yes	No	Total
Labour shortages as a result of emigration	3.1	96.9	100.0	16.0	84.0	100.0	24.0	76.0	100.0
Hardships in accessing public services from government agencies	10.7	89.3	100.0	17.2	82.8	100.0	22.0	78.0	100.0
Issues in purchasing or maintaining capital goods, equipment or spare parts	54.8	45.2	100.0	53.3	46.7	100.0	55.0	45.0	100.0
Employees request for wage increases	16.8	83.2	100.0	57.5	42.5	100.0	45.8	54.2	100.0
Salary increased	12.1	87.9	100.0	40.0	60.0	100.0	37.3	62.7	100.0

Table 4.12 illustrates the percentage distribution of the enterprises by challenges faced due to the prevailing economic crisis by scale of business. The major challenge faced by the micro scale enterprises is the “Issues in Purchasing or Maintaining Capital Goods, Equipment or Spare Parts”, which impacted to 54.8% enterprises and in parallel to same impacted to enterprises in other two scales (Small & Medium). Impact of other four factors for micro enterprises is significantly lower. This is because many micro-level enterprises obtain labour from their own families. Consequently, the impact of labour shortage on micro level enterprises is generally low. The other two challenges, hardships in accessing public services from government agencies and employees request for wage increases have impacted 10.7 percent and 16.8 percent of micro-scale enterprises, respectively.

In the context of the Small scale category, two significant challenges have been discerned, presenting notable difficulties for small-scale enterprises. These challenges encompass “Issues in

Purchasing or Maintaining Capital Goods, Equipment or Spare Parts” and “Employees Request for Wage Increases”. Those challenges have affected 53.3 percent and 57.5 percent of small scale enterprises respectively. The influence exerted by other two identified challenges is comparatively minimal.

In the medium scale category, the major factors that influenced for enterprises are same as small scale category, namely, “Issues in Purchasing or Maintaining Capital Goods, Equipment or Spare Parts” and “Employees Request for Wage Increases”. Those challenges have impacted to 55.0 percent and 45.8 percent of medium scale enterprise respectively. Although the impact of these challenges is more prominently affected challenges, it is noteworthy that the remaining three challenges exert a noteworthy influence on medium-scale enterprises, affecting approximately the same proportion of businesses within this category.

Table 4.13: Percentage distribution of enterprises by scale and by future plans - 2022

Sources	Scale		
	Micro	Small	Medium
Continuation of current business	75.4	77.3	73.3
Expanding the current business	11.4	12.8	20.7
Starting another business while carrying on the current business	6.4	4.7	3.2
Changing the current business to another economic/business activity	1.6	0.7	0.2
Contraction of business activities (reducing or curtailing production/laying off employees etc.)	1.0	1.8	1.7
Selling or leasing the business	1.3	1.3	0.3
Closing the business	2.9	1.3	0.6
Total	100	100	100

According to the table 4.13, 75.4 percent of micro enterprises, 77.3 percent of small enterprises and 73.3 percent of medium enterprises, have indicated their intention to persist with their current business operations without pursuing expansion or making changes to their business model. This inclination implies that these enterprises find themselves in an unsettled situation and have chosen not to undertake significant changes for their business.

Furthermore, 11.4 percent of Micro enterprises, 4.7 percent of Small enterprises and 20.7 percent of Medium enterprises are planning to expand their current business while 6.4 percent of micro enterprises, 12.8 percent of Small enterprises and 3.2 percent of Medium enterprises are planning to start another business while carrying on the current business.

The enterprises in Small and Medium scale category pay slight attention (0.7% of small, 0.2% of Medium) to change the current business to another economic/business activity, but enterprises in the micro scale category (1.6 of Micro), pay attention to change the current business to another economic/business activity more than small and medium category

In the Small and Medium scale categories, a comparable proportion of enterprises, approximately 1.7 percent for both categories, have devised future plans involving the contraction of business activities. This contraction may encompass actions like reducing production or implementing workforce downsizing. Conversely, among micro-scale enterprises, 1 percent have opted to pursue the aforementioned strategy as part of their future plans, while the remaining 99% of micro-scale enterprises have not included such plans in their agenda.

"The prospect of selling or leasing the business" as their future plan, choose of 1.3 percent of micro enterprises, 1.3 percent of small enterprises, and 0.3 percent of medium enterprises. These enterprises have arrived at this decision due to their inability to sustain their business operations any further.

Table 4.14: Percentage distribution of enterprises by their expectation from the government to mitigate the impact of economic crisis and by scale - 2022

Sources	Scale		
	Micro	Small	Medium
Removal of import restrictions	21.8	31.5	28.6
Reduction of existing tariff rates and other duties for imported raw materials	35.4	44.2	43.3
Restrictions on imports of certain products to protect domestic businesses	16.0	24.2	22.6
Tax relief (reduction of corporate tax, VAT etc.)	31.5	52.3	56.1
Relaxation of lease and loan installments	36.3	42.3	40.6
Reducing existing loan interest rates	50.6	59.5	53.7
Special loan facilities at low interest rates /subsidized loans /special refinancing facility	50.7	52.3	45.5
Relaxing labor regulations on working hours, hiring and removal of employees	4.6	13.4	12.2
Streamlining existing government regulations/ procedures required in conducting business operations	8.9	18.8	24.2
Apply export promotion and export destination diversification tools	2.2	9.1	12.3
Debt restructuring by financial institutions (e.g., extension of loan tenure, rescheduling of loan installments etc.)	15.4	26.5	29.7
Other	2.8	1.4	2.2

The table 4.14 indicates that the the most critical support of the government expected by all scale categories is “the Reducing interest rates for the existing loans”. If the government decides to reduce existing loan interest rates, 50.6 percent of micro, 59.5 percent of small and 53.7 percent of medium scale enterprises projected that they can be mitigate impacts faced by them as a result of prevailing economic crisis.

Going by the above projection, all scale categories of enterprises projected that “Special loan facilities at low interest rates /subsidized loans /special refinancing facility” is the second major alternative to mitigate impact of prevailing economic crisis for them, it is projected by 50.7 percent of micro, 52.3 percent of small and 45.5 percent of medium scale enterprises. With the above two major expectations, it is appeared that the majority of Micro, Small and Medium scale enterprises have been highly impacted by the increasing of interest rates for lease and loans they obtain previously and to mitigate the impact, micro and small-scale institutions are mostly expecting special loan facilities, loan subsidies and special financial facilities at low interest rates. 31.5 percent of micro, 52.3 percent of small and 56.1 percent of medium scale enterprises are expected “Relief Taxes (reduction of corporate tax, VAT etc.)” by the government will be an answer to mitigate the impact of economic crisis.

“Relaxation of lease and loan installments” is expected by 36.3 percent of micro, 42.3 percent of small and 40.6 percent of medium scale enterprises to mitigate the impacts of economic crisis they faced.

“Reduction of Existing Tariff Rates and Other Duties for Imported Raw Materials” expected by 35.4 percent of micro, 44.2 percent of small and 43.3 percent of medium scale enterprises while “Removal of Import Restrictions”, as a government support, expected by 21.8 percent of micro, 31.5 percent of small and 28.6 percent of medium scale enterprises. Also, 16.0 percent of micro, 24.2 percent of small and 22.6 percent of medium scale enterprises suppose that government should “Restrict Imports of Certain Products to Protect Domestic Businesses”.

As expectations of all scale enterprises, “Debt restructuring by financial institutions (e.g., extension of loan tenure, rescheduling of loan installments etc.)” have been critically expected by all scale of enterprises, most heavily small and medium scale enterprises. Approximately, 1 of 4 in small category and 1 of 3 in medium category enterprises expected that debt restructuring by financial institutions is a crucial strategy for them while 1 of 6 micro scale enterprises expects same.

Other strategies proposed in the survey, such as “Streamlining Existing Government Regulations/ Procedures required in conducting Business Operations”, “Relaxing labor regulations on working hours, hiring and removal of employees, “Apply Export Promotion and Export Destination Diversification Tools” are not do significant issue for the micro sector, but approximately same impacts for Small and Medium scale enterprises

The most common areas of support expected by Micro enterprises are “Reducing Existing Loan Interest Rates, Special Loan Facilities at Low Interest Rates, and Relaxation of Lease and Loan Installments” while Small and Medium enterprises are expecting of support from the government such as “Reducing Existing Loan Interest Rates, Special Loan Facilities at Low Interest Rates, and Tax Relief”.

Table 4.15: Percentage distribution of businesses, engaged in direct exporting by scale and by main economic sector – 2022

Main Economic Sector	Response	Scale		
		Micro	Small	Medium
Industry	Yes	1.2	4.4	18.0
	No	98.8	95.6	82.0
	Total	100.0	100.0	100.0
Trade	Yes	0.1	0.2	6.5
	No	99.9	99.8	93.5
	Total	100.0	100.0	100.0
Services	Yes	0.1	0.1	0.4
	No	99.9	99.9	99.6
	Total	100.0	100.0	100.0

Colour Diagram 4.1: Distribution of MSMEs engaged in direct importing by severity of identified issues by economic crisis-2022

Issue	Micro	Small	Medium
Industry			
1.Scarcity of foreign exchange			
2.Increase in exchange rates			
Trade			
1.Scarcity of foreign exchange ¹			
2.Increase in exchange rates			
Services			
1.Scarcity of foreign exchange ¹			
2.Increase in exchange rates			

Colour Code



The above colour diagram shows number of economic units with direct import-process which are severely affected by these two issues as percentages compared to economic units engaged in direct importing process in the same category. In this table categories of

enterprises have been divided according to the scale and main economic sectors. And these percentage values are presented with a color code scale as shown below the table.

¹Scarcity of foreign exchange (to Import raw materials, goods for resale and other supplies/services)

In the industry sector, 50 to 60 percentage of micro enterprises, 60 percentage - 75 percentage of small enterprises, and 75% - 85% of medium enterprises are severely facing the issue of scarcity of foreign exchange. This means that it is very difficult for these MSMEs to obtain foreign currency to import raw materials and other inputs. The increase in exchange rates is also an issue for these MSMEs, out of total industry sector economic units engaged in direct import process 50 to 60 percentage, 75 to 85 percentage and above 85 percentage have been severely affected by the issue of increasing in exchange rate in micro, small and medium scales respectively. All these percentages categories are above 50 percent and it implies that many industries with direct importing have been severely affected from these two issues. In the trade sector, the scarcity of foreign exchange is even more of a problem. 60 to 75 percentage of micro enterprises, 60 to 75 percentage of small enterprises, and above 85 percent of medium enterprises are facing the issue of scarcity of foreign

exchange. This is because trade enterprises need to import goods and services from other countries, and they are finding it very difficult to do so due to the scarcity of foreign exchange. The increase in exchange rates is also a problem for trade MSMEs which are engaged in direct import process and these percentages are above 50 for all three scales of MSMEs in the trade sector.

In the service sector, the scarcity of foreign exchange is not as serious as in the industry and trade sectors for micro and small enterprises. But medium scale entities in the service sector have been severely affected by this issue. The increase in exchange rates is also a major problem for service sector enterprises. In this case high percentages of small and medium enterprises have severely faced the issue of increase in exchange rates. This is because service MSMEs often need to import equipment and software from other countries, and the increase in exchange rates is making it more expensive for them to do so.

Colour Diagram 4.2: Distribution of the establishments by difficulties severely faced due to economic crisis - 2022

Issue	Micro	Small	Medium
Industry			
1. Increase in prices of raw materials in the local market			
2. Scarcity of raw materials to produce goods or services			
3. Decrease in demand for the products or services			
4. Scarcity of fuel for production or transport			
5. Interruption of electricity supply			
6. Payment of salaries and wages			
7. Payments for utility services			
Trade			
1. Increase in prices of raw materials in the local market	NR	NR	NR
2. Scarcity of raw materials to produce goods or services	NR	NR	NR
3. Decrease in demand for the products or services ²			
4. Scarcity of fuel for production or transport			
5. Interruption of electricity supply			
6. Payment of salaries and wages			
7. Payments for utility services			
Services			
1. Increase in prices of raw materials in the local market			
2. Scarcity of raw materials to produce goods or services			
3. Decrease in demand for the products or services ²			
4. Scarcity of fuel for production or transport			
5. Interruption of electricity supply			
6. Payment of salaries and wages			
7. Payments for utility services			

Colour Code



²Decrease in demand (domestic / international) for your products or services

⁷Payments for utility services including water, electricity and gas

NR – Not relevant

This colour diagram shows the percentage of MSMEs that have severely faced for identified seven issues caused by economic crisis. The percentages show the number of enterprises which are severely affected by these issues compared to all economic units in the same category. In this table categories of enterprises have been divided according to the scale and main economic sectors. And these percentage values are presented with a color code scale as shown below the table.

These issues are :

- Increase in prices of raw materials in the local market
- Scarcity of raw materials to produce goods or services
- Decrease in demand for the products or services
- Scarcity of fuel for production or transport
- Interruption of electricity supply
- Payment of salaries and wages
- Payments for utility services

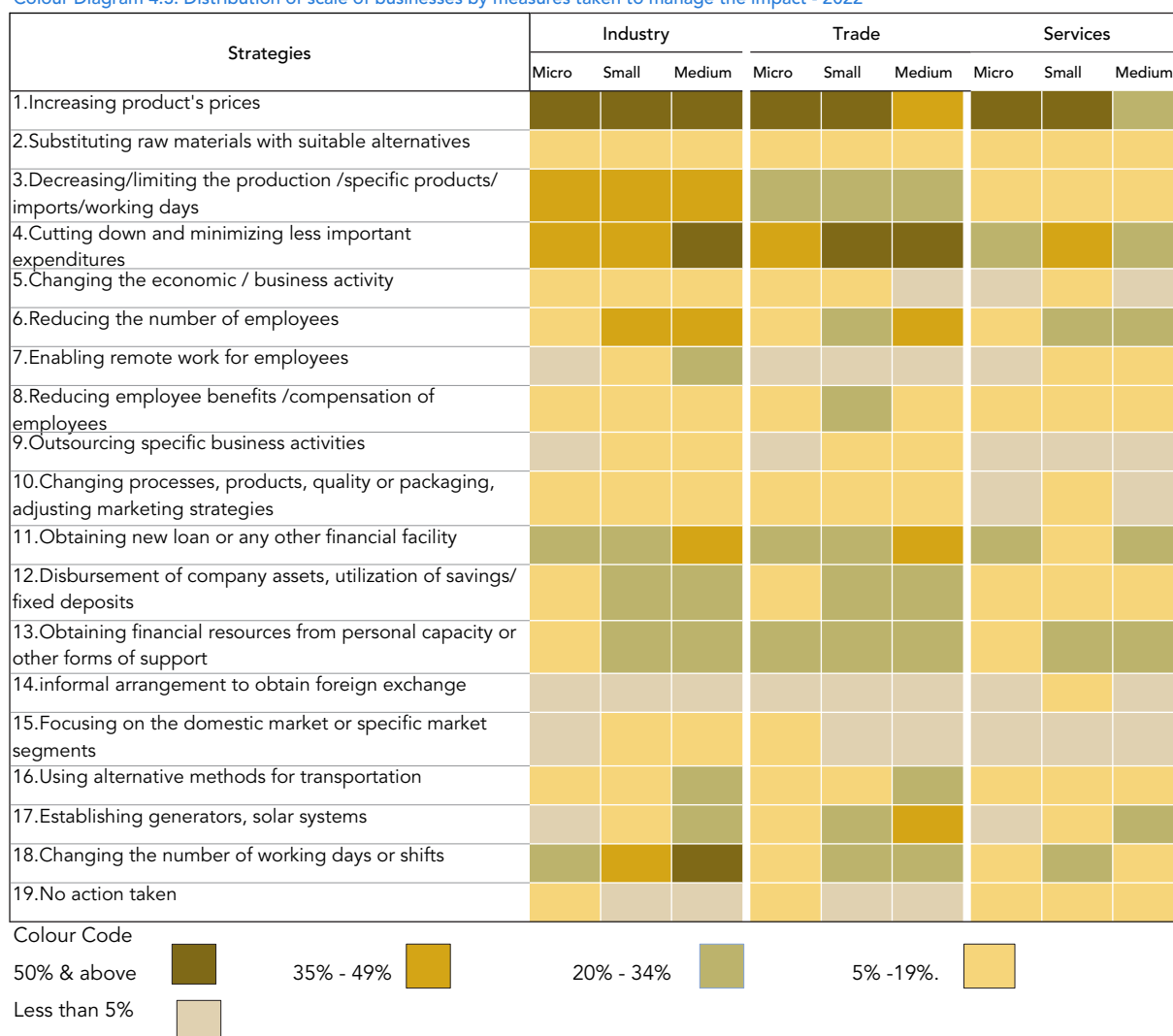
The table shows that the most common issue facing MSMEs in industry and service sectors is the increase in prices of raw materials in the local market. Service sector economic units for all three scales have severely faced this problem with more than 75 percent. The

economic units of the micro and small-scale industry sector have also faced this problem seriously with a percentage of more than 75 percent and for the industry sector economic units of the medium scale this effect is also higher than 60 percent.

This is followed by the scarcity of raw materials to produce goods or services. Service sector economic units for all three scales have severely faced this problem with more than 60 percent percentage. In the industry sector, more than 60 percent of small scale enterprises have been severely affected by this issue. The decrease in demand for products or services is also a major issue, for all MSMEs in the economy. More than 50 percentage of all economic entities engaged in all categories have faced these issues.

The scarcity of fuel for production or transport is also a major issue for MSMEs in all sectors. The service sector is the most affected in this problem, which is more than 60 percent. The interruption of electricity supply is also a major issue, especially for industry and service sector MSMEs.

Colour Diagram 4.3: Distribution of scale of businesses by measures taken to manage the impact - 2022



Colour Diagram 4.3 depicts the distribution of scale of businesses by measures taken to manage the economic impact. When delving into the strategies employed across the industry, trade, and service sectors in response to economic crises, a recurring pattern emerges, highlighting a common approach that revolves around the effective management of prices. Notably, the primary strategy extensively utilized by enterprises across these sectors is the increase in product prices, serving as a prominent response to economic uncertainties. This strategic maneuver, seen in more than 50 percent of industries, underscores the sector's collective endeavor to bolster revenue streams and safeguard profitability amid challenging financial landscapes.

Similarly, the trade and service sectors mirror this inclination, with the medium enterprises exhibiting a slightly reduced reliance on this strategy compared to their micro and small counterparts. This parallel approach across sectors signifies the crucial role of pricing as a strategic lever during economic

crises. Following this overarching approach, another key strategy embraced by enterprises involves the gradual reduction of expenditures and cutting down on less important costs. This rational approach allows businesses to optimize resource allocation while minimizing financial strain. Additionally, the decrease or limitation of production, along with the management of imports and working days, plays a pivotal role in maintaining inventory control and streamlining operations.

Delving deeper, a noteworthy trend surfaces within the Industry sector, particularly in small and medium enterprises. The utilization of strategies such as reducing the number of employees and changing the number of working days/shifts is markedly higher in these enterprise categories compared to micro enterprises. This divergence underscores the pivotal role of adaptability and flexibility in medium and small enterprises, enabling them to implement more substantial operational modifications to navigate economic downturns effectively.

In the Trade sector, the strategy of cutting down and minimizing less important expenditures garners significant traction, surpassing the 50 percent threshold in both small and medium enterprises. This reflects the sector's proactive approach to streamlining operations and

optimizing resource allocation. In the Industry sector, this strategy secures a notable 35% to 49 percent usage range, further emphasizing its relevance in bolstering financial stability.

Table 4.16: Percentage Distribution of enterprises, directly import raw materials or goods required for their products/services or for resale by scale and by main economic sector – 2022

Main Economic Sector	Direct importing	Scale		
		Micro	Small	Medium
Industry	Yes	0.6	2.4	19.4
	No	99.4	97.6	80.6
	Total	100.0	100.0	100.0
Trade	Yes	0.4	0.7	3.8
	No	99.6	99.3	96.2
	Total	100.0	100.0	100.0
Services	Yes	0.1	0.5	0.1
	No	99.9	99.5	99.9
	Total	100.0	100.0	100.0

The above table displays the majority MSMEs do not import raw materials or goods directly. When MSME sector is considered, the percentage of enterprises that directly import raw materials or goods in the micro sector is lower than those in small and medium sectors. Within the micro sector, the lowest percentage of enterprises (0.1%) that directly import raw materials or goods is reported in the services sector. Considering

the major industry group, the percentage of enterprises that directly import raw materials or goods in the industry and construction sector is higher than those in the service and trade sectors. In fact, the highest percentage of enterprises that import raw materials directly (19.4%) is reported for the medium sector within industry and construction group.

Table 4.17: Percentage distribution of the enterprises by proportion of cost of directly imported raw materials/goods out of the total cost of raw materials/goods, by main economic sector and by Scale in 2018

Main Economic Sector	Scale	Contribution		Total
		Below 50%	50% and above	
Industry and Constructions	Micro	6.3	93.7	100.0
	Small / Medium	46.4	53.6	100.0
Trade	Micro	86.6	13.4	100.0
	Small / Medium	7.8	92.2	100.0
Services	Micro	58.7	41.3	100.0
	Small / Medium	63.2	36.8	100.0

The table 4.17 displays the percentages of Micro small medium enterprises importing less than 50 percentage of the total raw materials/goods cost and the percentages of Micro small medium enterprises importing 50 percent or more of the total raw material cost for the year 2018. Furthermore, 93.7 percent of micro-enterprises in the industry and construction

sector imported 50 percent or more of their raw material costs in 2018. Likewise, in 2018, 92.2 percent of the small/medium enterprises in the trade sector imported 50 percent or more of the raw material cost. Furthermore, 86.6 percent of the micro-enterprises in the trading sector imported less than 50 percent of the cost of raw materials in 2018.

Chapter 5

Conclusion

It is very clear that the more MSMEs were closed due to COVID pandemic than economic crisis in Sri Lanka. The common challenge of accessing financial facilities necessitates a broader support framework for all MSMEs. Policymakers, financial institutions, and MSMEs should collaborate to address sector-specific vulnerabilities and capitalize on respective strengths, fostering resilience and growth within the MSME landscape. MSMEs in all three sectors are facing a number of challenges. These challenges are having a negative impact on their businesses and their ability to grow.

The notable prevalence of debt restructuring and new loan acquisition strategies across all enterprise scales underscores their strong connectivity to financial channels. While certain strategies were more pronounced among specific enterprise scales, the shared adoption of strategies like debt restructuring and personal resource utilization highlights the sector's adaptability and resilience.

The variations across sectors underscore the need for tailored financial strategies. While the Small and Medium sectors grapple with higher debt and repayment challenges, the Micro sector faces relatively fewer obstacles.

Overall, the most common areas of support expected by MSME are all related to financial assistance, to help them cope with the economic crisis. The government needs to provide financial assistance, as well as other forms of support, to help MSME survive and thrive.

Medium-sized organizations are mostly expected to comply with government regulations, formalization of procedures, export promotion, export destination diversification strategies and methods, etc., which are necessary in conducting business operations.

The scarcity of foreign exchange and the increase in exchange rates are both having a negative impact on MSMEs in Sri Lanka. These problems are making it difficult for MSMEs to import raw materials, equipment, and software, which are slowing down their production and growth. The problems are also making it more expensive for MSMEs to do business, which is reducing their profits.

These findings indicate that government of Sri Lanka needs to take a comprehensive approach to addressing the scarcity of foreign exchange and the increase in exchange rates. These problems are complex, and there is no single solution that will work. However, by taking a number of steps, the government can help to mitigate the impact of these problems on MSMEs and the economy as a whole.

These findings emphasize the unique challenges faced by each category and provide valuable insights for policymakers and financial institutions to develop targeted support measures during the economic crisis.

Statistical Appendix

6. Statistical Appendix

Table 6.1: Percentage distribution of the status of SMEs by economic activity at the end of 2022

Main Economic Sector	Economic Activity	Current status		
		Active	Closed due to economic crisis	Closed due to other reasons
Industry and Construction	Mining and quarrying	55.8	24.6	19.6
	Manufacture of food products	77.5	11.9	10.6
	Manufacture of beverages	85.7	4.6	9.7
	Manufacture of textiles	74.7	4.1	21.2
	Manufacture of wearing apparel	86.5	5.9	7.6
	Manufacture of leather and related products	76.5	1.8	21.7
	Manufacture of wood and of products of wood and cork, except furniture; manufacture of articles of straw and plaiting	88.0	6.0	6.1
	Manufacture of paper and paper products	75.7	0.4	23.9
	Printing and reproduction of recorded media	80.5	6.5	12.9
	Manufacture of chemicals and chemical products	82.9	12.2	4.9
	Manufacture of other non- metallic mineral products	68.3	15.2	16.5
	Manufacture of fabricated metal products (except machinery and equipment)	79.2	10.2	10.6
	Manufacture of furniture	89.7	2.2	8.1
	Other manufacturing	86.0	8.5	5.5
	Repair and installation of machinery and equipment	95.2	1.3	3.5
	Other Industry (water supply, sewerage, waste management etc.)	89.8	2.7	7.5
	Construction	71.3	13.0	15.7
Trade	Trade	81.4	8.4	10.2
	Transportation and storage	76.9	8.8	14.3
	Accommodation and food service activities	75.7	9.6	14.7
	Information and Communication	72.2	13.8	14.1
	Financial and Insurance Activities	85.6	5.1	9.4
	Real estate activities	76.4	11.5	12.0
Services	Professional, Scientific and technical activities	89.6	5.9	4.6
	Administrative and support service activities	88.8	1.8	9.4
	Education	86.9	4.9	8.2
	Human health and social work activities	91.1	1.0	8.0
	Arts, entertainment and recreation	85.1	1.8	13.1
	Other service activities	86.5	4.1	9.4

Table 6.3: Percentage change of No. of enterprises with respect to 2018: Micro scale enterprises

Main Economic Sector	Economic Activity	2018	2019	2020	2021	2022
Industry and Construction	Mining and quarrying	100.0	94.0	142.3	133.2	110.2
	Manufacture of food products and beverages	100.0	101.3	105.4	103.5	103.2
	Manufacture of tobacco products	100.0	93.7	100.6	99.7	96.8
	Manufacture of textiles	100.0	102.4	111.2	108.2	105.1
	Manufacture of wearing apparel	100.0	101.5	103.4	103.4	102.9
	Manufacture of leather and related products	100.0	104.7	115.8	117.0	99.9
	Manufacture of wood and of products of wood and cork, except furniture; manufacture of articles of straw and plaiting	100.0	88.3	105.2	105.5	102.1
	Manufacture of paper and paper products	100.0	93.8	93.8	72.4	94.2
	Printing and reproduction of recorded media	100.0	100.3	108.4	108.8	134.2
	Manufacture of chemicals and chemical products	100.0	101.5	104.4	111.4	111.4
	Manufacture of basic pharmaceutical products and pharmaceutical preparations	100.0	94.0	111.9	116.7	117.9
	Manufacture of rubber and plastic products	100.0	100.6	100.6	96.9	96.2
	Manufacture of other non- metallic mineral products	100.0	97.3	117.9	110.9	108.9
	Manufacture of basic metals	100.0	208.3	208.3	191.7	87.5
	Manufacture of fabricated metal products (except machinery and equipment)	100.0	100.0	113.3	112.6	111.0
	Manufacture of computers, electronics and optical products	100.0	180.0	180.0	180.0	180.0
	Manufacture of electrical equipment	100.0	96.6	100.0	100.0	100.0
	Manufacture of motor vehicles, trailers and semi-trailers	100.0	83.0	81.0	81.0	83.0
	Manufacture of other transport equipment	100.0	100.0	100.0	100.0	144.4
	Manufacture of furniture	100.0	106.2	122.4	122.0	111.3
Trade	Repair and installation of machinery and equipment	100.0	98.1	130.7	125.8	126.8
	Other industry	100.0	107.0	111.3	109.2	107.1
	Construction	100.0	107.4	133.1	128.6	140.4
	Trade	100.0	102.0	105.0	104.1	101.4
	Transportation and storage	100.0	99.8	101.4	100.6	98.5
	Accommodation and food service activities	100.0	102.8	114.2	111.2	101.4
	Information and Communication	100.0	100.0	103.5	107.2	106.3
	Financial and Insurance Activities	100.0	102.4	116.1	116.1	108.0
	Real estate activities	100.0	91.3	100.0	106.8	110.5
	Professional, Scientific and technical activities	100.0	100.9	107.8	108.5	107.0
Services	Administrative and support service activities	100.0	104.9	116.3	115.9	103.4
	Education	100.0	102.3	108.2	105.9	98.2
	Human health and social work activities	100.0	101.3	108.9	100.4	99.0
	Arts, entertainment and recreation	100.0	99.5	99.7	99.7	99.7
	Other service activities	100.0	101.1	103.1	103.1	102.1
	Total	100.0	100.9	105.2	104.1	101.6

Table 6.4: Percentage change of No. of enterprises with respect to 2018: Small scale enterprises

Main Economic Sector	Economic Activity	2018	2019	2020	2021	2022
Industry and Construction	Mining and quarrying	100.0	108.9	89.8	96.6	114.0
	Manufacture of food products and beverages	100.0	106.7	83.1	87.6	97.8
	Manufacture of tobacco products	100.0	106.1	100.8	103.7	107.7
	Manufacture of textiles	100.0	93.8	66.9	76.8	92.1
	Manufacture of wearing apparel	100.0	90.5	57.9	69.1	66.8
	Manufacture of leather and related products	100.0	111.0	39.1	41.7	111.5
	Manufacture of wood and of products of wood and cork, except furniture; manufacture of articles of straw and plaiting	100.0	167.3	70.6	76.2	97.6
	Manufacture of paper and paper products	100.0	100.0	100.0	888.5	84.6
	Printing and reproduction of recorded media	100.0	106.2	82.5	81.4	81.4
	Manufacture of chemicals and chemical products	100.0	93.1	84.4	100.9	101.7
	Manufacture of basic pharmaceutical products and pharmaceutical preparations	100.0	110.9	78.3	69.6	67.4
	Manufacture of rubber and plastic products	100.0	99.3	119.4	119.4	117.2
	Manufacture of other non-metallic mineral products	100.0	103.6	35.7	58.0	48.2
	Manufacture of basic metals	100.0	29.7	35.1	89.2	102.7
	Manufacture of fabricated metal products (except machinery and equipment)	100.0	100.8	20.2	24.5	36.9
	Manufacture of computers, electronics and optical products	100.0	55.6	55.6	55.6	55.6
	Manufacture of machinery and equipment	100.0	176.5	164.7	164.7	170.6
	Manufacture of motor vehicles, trailers and semi-trailers	100.0	52.4	57.1	57.1	100.0
	Manufacture of other transport equipment	100.0	183.3	100.0	100.0	50.0
	Manufacture of furniture	100.0	78.3	25.3	20.5	53.6
	Repair and installation of machinery and equipment	100.0	106.7	11.3	25.6	22.6
	Other industry	100.0	73.9	47.9	58.9	80.2
	Construction	100.0	93.4	74.8	77.1	81.7
Trade	Trade	100.0	93.8	68.2	86.8	123.6
	Transportation and storage	100.0	77.0	33.6	33.7	85.1
	Accommodation and food service activities	100.0	82.9	33.0	46.4	93.5
	Information and Communication	100.0	98.9	47.5	49.0	62.0
	Financial and Insurance Activities	100.0	102.0	64.5	64.5	66.3
	Real estate activities	100.0	100.0	100.0	70.3	70.3
	Professional, Scientific and technical activities	100.0	91.6	24.9	18.1	32.2
Services	Administrative and support service activities	100.0	75.6	17.1	17.8	42.1
	Education	100.0	85.8	55.8	66.2	103.1
	Human health and social work activities	100.0	91.2	40.6	97.4	106.1
	Arts, entertainment and recreation	100.0	86.9	87.5	87.5	87.5
	Other service activities	100.0	79.4	50.2	50.1	63.9
	Total	100.0	92.8	54.8	66.0	91.3

Table 6.5: Percentage change of No. of enterprises with respect to 2018: Medium scale enterprises

Main Economic Sector	Economic Activity	2018	2019	2020	2021	2022
Industry and Construction	Manufacture of textiles	100.0	94.3	42.1	56.0	47.0
	Manufacture of wearing apparel	100.0	90.6	53.8	47.4	87.1
	Manufacture of leather and related products	100.0	100.0	94.4	18.5	25.9
	Manufacture of wood and of products of wood and cork, except furniture; manufacture of articles of straw and plaiting	100.0	100.0	78.8	76.9	76.9
	Manufacture of paper and paper products	100.0	100.0	100.0	100.0	100.0
	Printing and reproduction of recorded media	100.0	70.4	70.4	70.4	70.4
	Manufacture of chemicals and chemical products	100.0	92.6	78.7	78.7	76.2
	Manufacture of rubber and plastic products	100.0	100.0	59.9	68.6	74.5
	Manufacture of other non- metallic mineral products	100.0	100.0	73.6	69.8	69.8
	Manufacture of fabricated metal products (except machinery and equipment)	100.0	89.5	33.7	32.6	32.6
	Manufacture of electrical equipment	100.0	100.0	100.0	100.0	100.0
	Manufacture of machinery and equipment n.e.c.	100.0	23.5	23.5	23.5	23.5
	Manufacture of furniture	100.0	108.7	74.0	60.1	46.2
	Other industry	100.0	97.1	51.8	56.1	55.4
	Construction	100.0	86.7	27.0	37.8	28.8
Trade	Trade	100.0	67.4	32.8	33.3	36.8
	Transportation and storage	100.0	97.4	2.4	2.0	2.2
	Accommodation and food service activities	100.0	92.9	41.5	31.1	57.1
	Financial and Insurance Activities	100.0	54.9	54.9	54.9	100.0
	Professional, Scientific and technical activities	100.0	100.0	100.0	100.0	100.0
Services	Administrative and support service activities	100.0	104.8	49.2	84.1	84.1
	Education	100.0	103.9	91.7	99.6	122.1
	Human health and social work activities	100.0	100.0	100.0	100.0	100.0
	Arts, entertainment and recreation	100.0	100.0	57.1	57.1	57.1
	Other service activities	100.0	100.7	88.2	86.1	86.8
	Total	100.0	84.3	42.0	42.5	51.7

Table 6.6: Percentage change of No. of persons engaged with respect to 2018: Micro scale enterprises

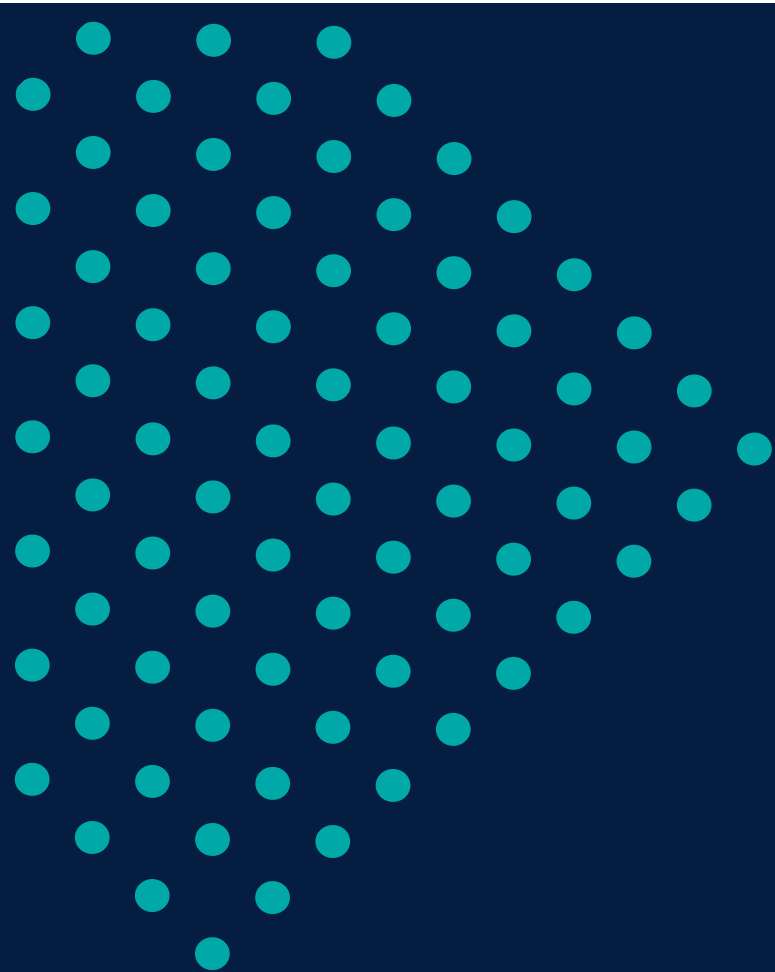
Main Economic Sector	Economic Activity	2018	2019	2020	2021	2022
Industry and Construction	Mining and quarrying	100.0	93.1	135.2	128.7	105.8
	Manufacture of food products and beverages	100.0	99.5	103.1	100.7	99.2
	Manufacture of tobacco products	100.0	89.1	98.7	97.2	92.9
	Manufacture of textiles	100.0	102.2	107.6	101.2	104.7
	Manufacture of wearing apparel	100.0	98.2	93.0	92.4	90.7
	Manufacture of leather and related products	100.0	101.5	104.5	109.7	98.5
	Manufacture of wood and of products of wood and cork, except furniture; manufacture of articles of straw and plaiting	100.0	84.5	94.5	95.1	91.7
	Manufacture of paper and paper products	100.0	93.7	89.3	60.6	89.9
	Printing and reproduction of recorded media	100.0	99.6	93.4	97.1	112.5
	Manufacture of chemicals and chemical products	100.0	102.7	107.6	111.1	111.1
	Manufacture of basic pharmaceutical products and pharmaceutical preparations	100.0	92.5	94.9	101.2	102.7
	Manufacture of rubber and plastic products	100.0	90.2	51.7	42.3	41.9
	Manufacture of other non-metallic mineral products	100.0	95.2	112.2	105.2	101.2
	Manufacture of basic metals	100.0	213.3	204.4	262.2	97.8
	Manufacture of fabricated metal products (except machinery and equipment)	100.0	97.1	77.6	74.2	74.5
	Manufacture of computers, electronics and optical products	100.0	163.6	163.6	163.6	163.6
	Manufacture of electrical equipment	100.0	96.6	100.0	100.0	100.0
	Manufacture of motor vehicles, trailers and semi-trailers	100.0	78.2	73.1	73.1	78.2
	Manufacture of other transport equipment	100.0	100.0	100.0	100.0	123.2
	Manufacture of furniture	100.0	103.1	118.5	96.9	105.4
	Repair and installation of machinery and equipment	100.0	94.5	154.2	138.0	150.6
	Other industry	100.0	107.7	110.5	105.1	104.3
	Construction	100.0	74.5	101.4	90.4	108.7
Trade	Trade	100.0	102.8	104.3	101.5	100.2
	Transportation and storage	100.0	97.2	99.3	97.9	100.1
	Accommodation and food service activities	100.0	101.4	109.3	107.2	121.2
	Information and Communication	100.0	99.5	100.6	107.5	109.1
	Financial and Insurance Activities	100.0	97.5	112.1	113.2	101.7
	Real estate activities	100.0	86.7	92.4	97.4	103.9
	Professional, Scientific and technical activities	100.0	100.7	105.3	106.8	106.3
Services	Administrative and support service activities	100.0	109.5	117.3	118.3	114.9
	Education	100.0	103.0	107.8	105.7	122.0
	Human health and social work activities	100.0	102.8	115.6	95.2	96.4
	Arts, entertainment and recreation	100.0	100.1	100.3	101.2	104.7
	Other service activities	100.0	102.2	99.7	99.3	101.2
Total		100.0	99.7	102.8	100.1	101.6

Table 6.7: Percentage change of No. of persons engaged with respect to 2018: Small scale enterprises

Main Economic Sector	Economic Activity	2018	2019	2020	2021	2022
Industry and Construction	Mining and quarrying	100.0	99.4	74.3	85.0	87.9
	Manufacture of food products and beverages	100.0	107.5	85.1	90.7	94.0
	Manufacture of tobacco products	100.0	98.7	91.9	95.0	106.8
	Manufacture of textiles	100.0	87.8	80.4	78.4	84.0
	Manufacture of wearing apparel	100.0	91.6	65.1	72.0	69.1
	Manufacture of leather and related products	100.0	72.1	29.1	42.8	78.5
	Manufacture of wood and of products of wood and cork, except furniture; manufacture of articles of straw and plaiting	100.0	141.4	69.1	68.3	84.4
	Manufacture of paper and paper products	100.0	103.7	93.6	412.9	91.7
	Printing and reproduction of recorded media	100.0	114.0	91.3	86.5	84.0
	Manufacture of chemicals and chemical products	100.0	92.1	83.2	90.2	91.1
	Manufacture of basic pharmaceutical products and pharmaceutical preparations	100.0	104.6	55.1	50.5	52.1
	Manufacture of rubber and plastic products	100.0	94.7	117.4	120.6	106.6
	Manufacture of other non-metallic mineral products	100.0	97.6	36.8	51.9	43.4
	Manufacture of basic metals	100.0	34.0	29.2	81.0	72.1
	Manufacture of fabricated metal products (except machinery and equipment)	100.0	85.5	26.8	28.0	34.9
	Manufacture of computers, electronics and optical products	100.0	71.3	77.2	78.4	77.8
	Manufacture of machinery and equipment	100.0	203.7	187.6	177.6	178.3
	Manufacture of motor vehicles, trailers and semi-trailers	100.0	67.4	67.8	62.2	98.1
	Manufacture of other transport equipment	100.0	165.1	109.5	100.0	61.9
	Manufacture of furniture	100.0	84.3	29.7	26.8	56.2
Trade	Repair and installation of machinery and equipment	100.0	99.1	15.0	27.7	23.4
	Other industry	100.0	61.3	53.5	55.7	63.7
	Construction	100.0	88.8	75.9	59.9	60.5
	Trade	100.0	99.8	75.1	86.5	115.6
	Transportation and storage	100.0	74.5	34.5	33.4	111.2
	Accommodation and food service activities	100.0	82.3	36.0	47.2	88.7
	Information and Communication	100.0	98.9	46.1	46.3	58.3
Services	Financial and Insurance Activities	100.0	119.7	85.2	81.7	69.7
	Real estate activities	100.0	101.2	98.8	88.8	88.8
	Professional, Scientific and technical activities	100.0	79.4	24.4	18.4	30.4
	Administrative and support service activities	100.0	71.1	20.3	17.7	38.1
	Education	100.0	90.2	62.3	72.0	95.2
	Human health and social work activities	100.0	86.9	42.1	97.5	99.9
	Arts, entertainment and recreation	100.0	87.8	91.4	90.9	90.2
	Other service activities	100.0	84.7	59.3	59.2	70.4
Total		100.0	93.4	60.8	68.1	89.2

Table 6.8: Percentage change of No. of persons engaged with respect to 2018: Medium scale enterprises

Main Economic Sector	Economic Activity	2018	2019	2020	2021	2022
Industry and Construction	Mining and quarrying	100.0	76.2	14.5	15.1	15.3
	Manufacture of food products and beverages	100.0	94.0	84.5	86.4	88.0
	Manufacture of tobacco products	100.0	104.9	65.0	49.9	51.4
	Manufacture of textiles	100.0	86.2	44.9	53.6	47.4
	Manufacture of wearing apparel	100.0	85.6	51.1	47.3	71.5
	Manufacture of leather and related products	100.0	101.2	90.0	45.5	50.8
	Manufacture of wood and of products of wood and cork, except furniture; manufacture of articles of straw and plaiting	100.0	101.4	84.3	82.8	82.9
	Manufacture of paper and paper products	100.0	104.9	100.2	101.2	96.7
	Printing and reproduction of recorded media	100.0	86.3	79.3	75.8	74.2
	Manufacture of chemicals and chemical products	100.0	107.1	101.1	110.5	94.7
	Manufacture of rubber and plastic products	100.0	96.6	71.3	76.2	76.1
	Manufacture of other non- metallic mineral products	100.0	98.1	75.0	71.9	68.3
	Manufacture of fabricated metal products (except machinery and equipment)	100.0	93.8	48.6	56.9	61.3
	Manufacture of electrical equipment	100.0	90.5	93.5	85.9	83.6
	Manufacture of machinery and equipment n.e.c.	100.0	31.2	27.8	26.9	26.3
	Manufacture of furniture	100.0	102.1	74.5	64.1	28.7
	Other industry	100.0	98.9	61.1	59.7	62.9
	Construction	100.0	90.2	27.3	37.1	28.9
Trade	Trade	100.0	69.6	34.5	33.9	36.0
	Transportation and storage	100.0	91.7	3.6	2.7	2.9
	Accommodation and food service activities	100.0	69.2	32.2	25.8	44.3
	Financial and Insurance Activities	100.0	59.4	62.8	59.2	83.0
	Professional, Scientific and technical activities	100.0	100.0	119.3	111.8	122.4
Services	Administrative and support service activities	100.0	109.8	43.8	94.7	95.4
	Education	100.0	103.3	92.5	99.6	118.6
	Human health and social work activities	100.0	99.4	98.7	95.0	96.4
	Arts, entertainment and recreation	100.0	99.3	70.1	72.5	73.1
	Other service activities	100.0	97.2	90.3	78.2	79.8
	Total	100.0	86.3	55.0	55.2	60.4



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